Gaming

E&P

1H25 Gaming Sector Preview

Slot Manufacturers

The overall backdrop for the slot manufacturers continues to look healthy, with solid GGR growth and casino capex intentions.

Aristocrat (Positive, $80.76/sh valuation)

Our top pick in the gaming sector for the first half of calendar 2025. Competition is not putting up a huge fight presently due to different circumstances for IGT and LNW, and the company has landed what could be a generational game in Phoenix Link. Industry feedback and initial data on the game has been very positive. As such, we believe the company is positioned to possibly repeat its very strong net adds in gaming ops during FY24 again in FY25. Aristocrat has also benefited from the rising USD in terms of how it reports its financials.

Light & Wonder (Positive, $194/sh valuation)

LNW remains our favourite longer-term pick in the gaming sector, but in the next couple of quarters they will continue to face some turbulence from switching out Dragon Train gaming ops machines in North America. Fortunately, this should not persist too long, as the company has recently released its first Huff n' Puff game on the Kascada cabinet that Dragon Train was built for: Huff n' Even More Puff Hard Hats. In terms of underlying execution, there are still good signs, with the company appearing to outperform the industry in Social Casino, and also still looking robust in outright sales. LNW will likely experience a slight detriment from non-USD currency translation, which we do not believe is fully reflected in consensus in the quarter. As such, we are sitting slightly below consensus for the quarter in our forecasts.

Lotteries

The Lottery Corporation (Positive, $5.35/sh valuation)

TLC had a change in fortune in 1H25 following a very favourable FY24 that generated record turnover. Powerball was the primary driver of bad luck, with our Monte Carlo simulator estimating turnover to be in the 22nd percentile of theoretical outcomes. However, underlying trends around Powerball and the rest of the portfolio remain robust. Thus, we won't read too much into the raw numbers from the impending result. That said, we are currently below consensus for 1H25 due to lower turnover forecasts.

Jumbo Interactive (Positive, $17.80/sh valuation)

Jumbo's result will naturally be highly correlated to TLC, with some variations for digital penetration, market share, and their other segments. For the upcoming result, we eagerly await the initial outcome of the Daily Winners rewards club, which was pre-revenue in FY24.

Wagering

Tabcorp (Neutral, $0.60/sh valuation)

Industry data and feedback have been mixed on the competitive environment. There are numerous theoretical catalysts for the company ahead, including advertising restrictions and potential changes to NSW retail concession that the company has been working on. However, in terms of shorter term earnings we are sitting either slightly below, or in line with consensus depending on the earnings measure. The upcoming result likely involves another chance of rebasing risk.

Casinos

SkyCity (Neutral, $1.47/sh valuation)

Macro for Auckland has continued to be tough. As such, we have lowered some of our forecasts into the result around the performance of the Auckland property and some of its growth projects (e.g. Horizon Hotel room rates, food & beverage spend). Consensus is currently in the bottom half of SkyCity's EBITDA guidance range ($251m vs. $245-265m) and the share price has not been forgiven for anything in the last 12-mths. For braver investors who are willing to bet that the Auckland market has bottomed, now is probably the time to have a look.

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Table of Contents

Slot Manufacturers — Aristocrat + Light & Wonder (pg.3)

- Dragon Train Aftermath (pg.3)
- Industry backdrop around Top Franchises (pg.6)
- Phoenix Link (pg.6)
- Most Anticipated Games (pg.9)
- Land Based Commentary & Trends (pg.10)
- Social Casual Commentary (pg.12)
- Social Casino Commentary (pg.13)
- iGaming Commentary (pg.15)
- Changes to Forecasts and Valuations (pg.16)

Lotteries — The Lottery Corp (pg.18)

- Powerball (pg.18)
- Oz Lotto (pg.20)
- Saturday Lotto (pg.21)
- Weekday Windfall (pg.22)
- Turnover Estimates by Game (pg.23)
- Foreign Matched Lotteries (pg.24)
- Changes to Forecasts and Valuations (pg.25)

Wagering — Tabcorp (pg.26)

- Industry Comps (pg.27)
- App Downloads (pg.29)
- Changes to Forecasts and Valuations (pg.30)

Casinos — SkyCity (pg.31)

- Mandatory Carded Play (pg.31)
- Land-Based Commentary & Trends (pg.32)
- Changes to Forecasts and Valuations (pg.34)

Relevant Australian Macro (pg.35)

Slot Manufacturers

Aristocrat (Positive, $80.76/sh valuation) and Light & Wonder (Positive, $194/sh valuation)

Key issues going into the 4Q24 result for LNW include (ALL reports in May):

- Impact of the Dragon Train Injunction on net adds & fee per day.
- Performance of key new/upcoming games such as Huff n Puff, Shenlong Unleashed & Dragon Train 2.0.
- US casino visitation and strength of customer spend.
- US casino capex cycle, new adjacent market openings & new international markets openings.
- Navigating a challenging social casino market whilst simultaneously maximizing margins by migrating spend onto direct-to-consumer channels.
- The ability to migrate their best land-based content online into live iGaming states.
- An update on the $1.4bn FY25 AEBITDA target & $565m-$635m NPATA target.

Dragon Train Aftermath

Following the injunction in late September, LNW has had to manage the initial market reaction to Dragon Train (1.0) being taken off the floor in the US. Our industry feedback suggests that the vast majority of the machines ended up being substituted for another Class III gaming ops game by LNW. However, this is likely phase 1 of what will be a multi-phase journey. LNW has been discounting what are considered lower-performing games in order to maintain floor space. This is merely a temporary solution, as gaming floor managers only have so much capacity to weather lower-performing games.

Our industry meetings have generally suggested that LNW will go through another round of substitutions one way or another with the ~2.2k units before getting to the other side. This could take the form of Huff n' Puff Hard Hat arriving in time, or else potentially in the form of Kascada cabinets being substituted away for something like LNW's Cosmic Cabinet.

To this end, the first slot influencer content featuring Huff n' even more Puff Hard Hat edition started turning up on YouTube around 3 weeks ago. The screenshot below is from a video by Pompsie Slots with the machine in the high denomination area at the El Cortez Hotel and Casino in Las Vegas. There are other slot influencers posting videos at other casinos as well, so the game has started earning floor space.

Exhibit 1 - Huff n' Even More Puff Hard Hat Edition is live



Source: Pompsie Slots as featured on Youtube

As such, for now we are leaning towards the Huff n' Puff franchise reducing the damage as the primary substitution rather than cabinets having to switch out.

In terms of potential earnings impacts from the Dragon Train removal, the table below outlines some broad scenarios around what the impact may have been (in isolation discounting any expansion units from other games) on fee per day for 3Q24. This can be used as a proxy for the range of potential outcomes in 4Q +/- any net impacts from other games. Overall, our calculations indicate is should have an impact for the quarter that is ~$1.90 on fee per day for the quarter.

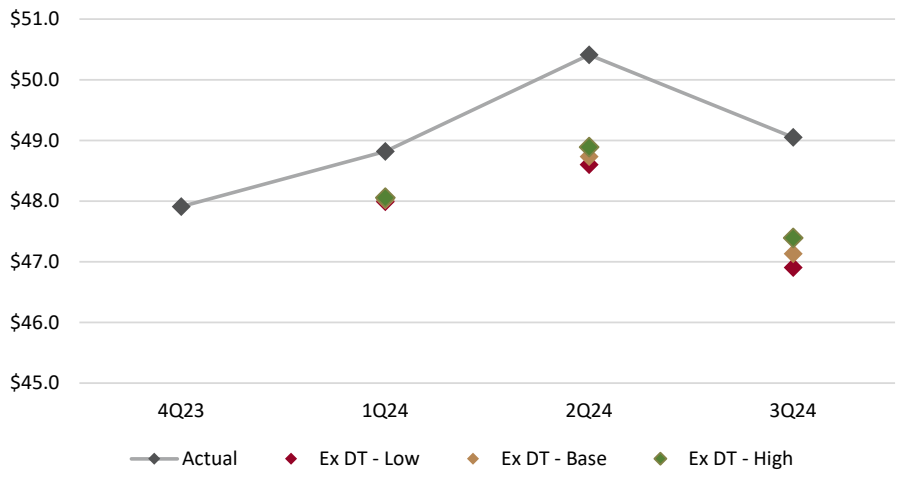
Exhibit 2 - Theoretical Impact on 3Q24 Fee Per Day from the Dragon Train Injunction

	Actual	Actual	Actual	3Q24 Adjusted		
	1Q24	2Q24	3Q24	Low	Base	High
	Mar-24	Jun-24	Sep-24	Sep-24	Sep-24	Sep-24
Total						
Install Base	31,534	32,566	33,151	32,931	33,041	33,151
Fee Per Day	$48.82	$50.41	$49.05	$46.91	$47.13	$47.39
Fee per Day Impact	-	-	-	-$2.14	-$1.92	-$1.66
Dragon Train Split						
Retention	-	-	-	90%	95%	100%
Install Base	300	1,300	2,200	1,980	2,090	2,200
Fee Per Day	$55.00	$55.00	$55.00	$20.00	$25.00	$30.00
Remainder						
Install Base	31,234	31,266	30,951	30,951	30,951	30,951
Fee Per Day	$48.76	$50.22	$48.63	$48.63	$48.63	$48.63

Source: Company Data, E&P Estimates

The chart below attempts to map out what the trailing fee per day impact would have been if Dragon Train never existed, and instead LNW acquired its incremental floor share with the initial substitute games. Again the analysis shows that in 3Q24 the impact is in the range of $1.66-$2.14 as per the table above, but also that this impact is magnified due to the quick expansion of the game. In 1Q24 on initial release, the theoretical impact was less than $1.

Exhibit 3 - Theoretical Fee Per Day with Dragon Train Replaced



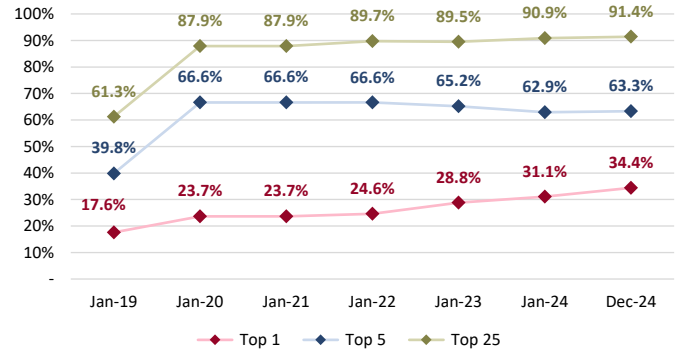
Source: Company Data, E&P Estimates

Industry backdrop is about Top Franchises becoming more important than ever

Over the last (almost) six years, and definitely post-covid, there has been a trend towards 'winner take more' in Premium Class III games. Spend and market share is becoming more concentrated among fewer and fewer games. Part of this is the incredible success of Dragon Link, but also overall it looks like casinos have been gradually becoming less fearful of concentration and more focussed on optimising slot spend. The concentration in the top 25 games hit a recent record at 91.4% share in December 2024.

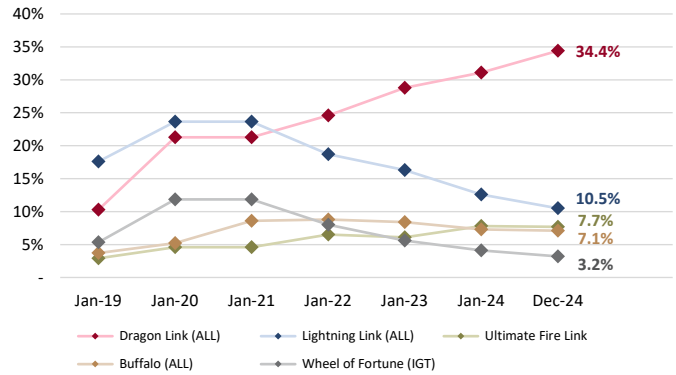
This concentration means that events around either actual or potential hit games are becoming more important. Although both Aristocrat and LNW are portfolio companies with lots of studios putting out lots of quality games, prospects around net-adds look like they are becoming more anchored to the trajectory of a smaller number of franchises than ever before.

Exhibit 4 - Top Premium Lease & WAP Franchises based on Net Win - Market Fragmentation



Source: Eilers & Krejcik, E&P Estimates

Exhibit 5 - Top 5 Premium Lease & WAP Franchises based on Net Win



Source: Eilers & Krejcik, E&P Estimates

Phoenix Link

Phoenix Link looks like it will be the talk of the town for 2025. In our time covering the gaming sector, this is the most anticipated new game ever on Eilers & Krejcik's charts, earning 48% of the votes in the 3Q24 survey. Initial data (albeit small sample size) shows a very strong performance with a 3.56x net win vs. the zone. Our initial conversations with industry participants and customers have been extremely favourable as well, with the game's statistics being reported as sustaining strongly post the initial promotional floor periods. At present, the game is outperforming Dragon Link, albeit on a much smaller install base.

We had industry feedback in December that Phoenix Link was charging ~US$75/day with a general expectation that it would reach ~2,000 units or more in its first 6 months. If this is achieved, it could be the primary catalyst behind another record or near-record year for Aristocrat's gaming ops business.

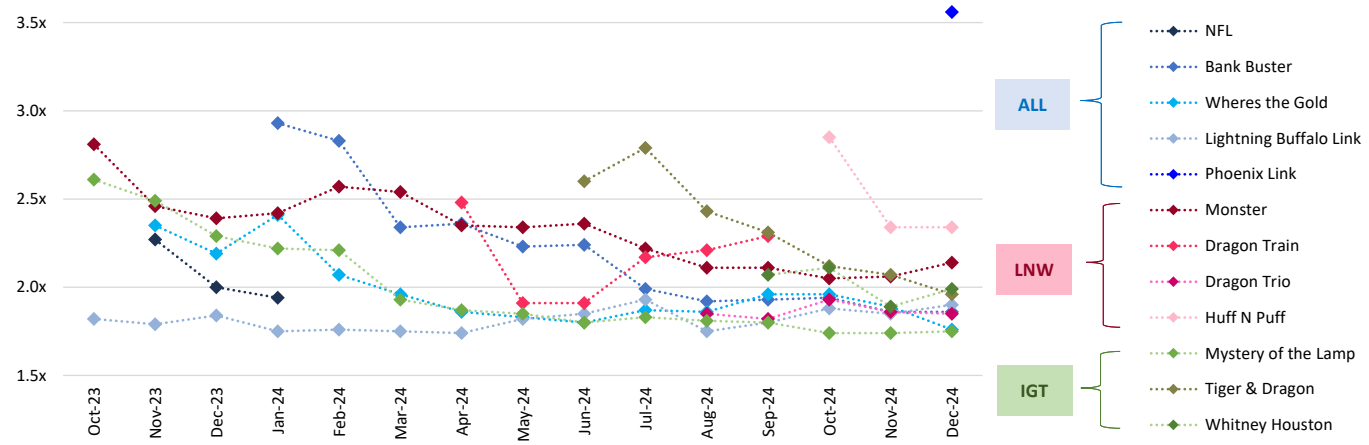
Exhibit 6 - Aristocrat's Phoenix Link



Source: Aristocrat

Phoenix Link's initial performance is thus far in a class of its own relative to other games that have recently launched. Although still a very small sample size, it has a long way to fall to come back to the pack of other high-performing games. We can compare this to the broader Huff n' Puff family, which is being talked about as a very high-performing game that will have long-term franchise sustainability (featured in pink).

Exhibit 7 - Net Win vs. Zone - New Games on Eilers Top 25 Indexing Premium Leased & WAP Games

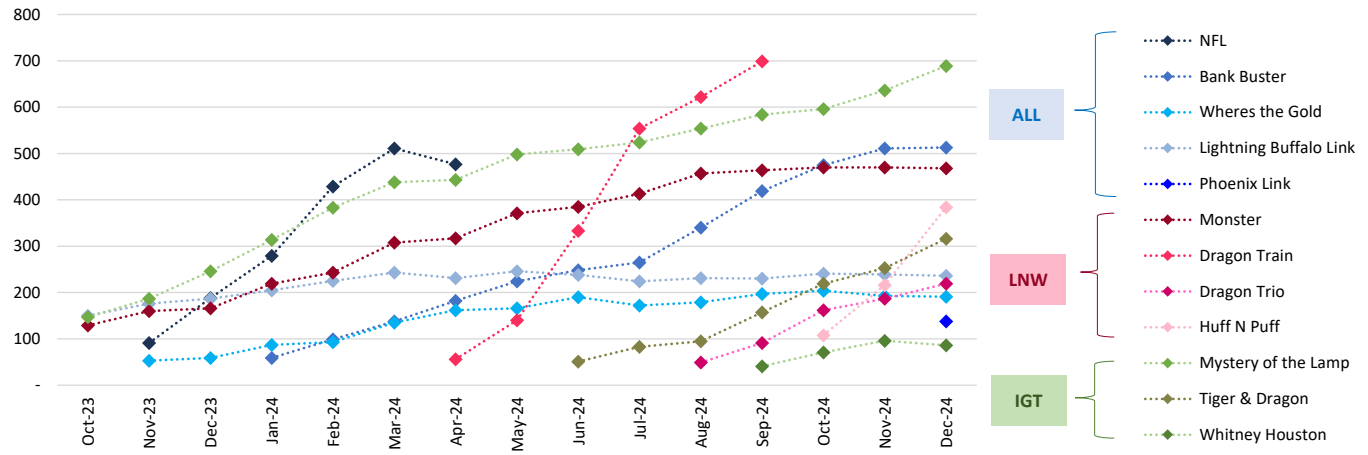


Source: Eilers & Krejcik, E&P Estimates

The below chart highlights the install base growth for top new games in the Premium Leased & WAP category over the initial months of their life (features more recent games). Phoenix Link had the strongest launch month, followed by the NFL in Nov-23. We note that Huff n' Puff is also continuing to scale well in its first few months in the category.

Other topical games from last year, such as Bank Buster and Monster, appear to have flattened out at this point. NFL fell out of the top 25 games in May 2024, and Dragon Train in October 2024, as such these lines end at those points.

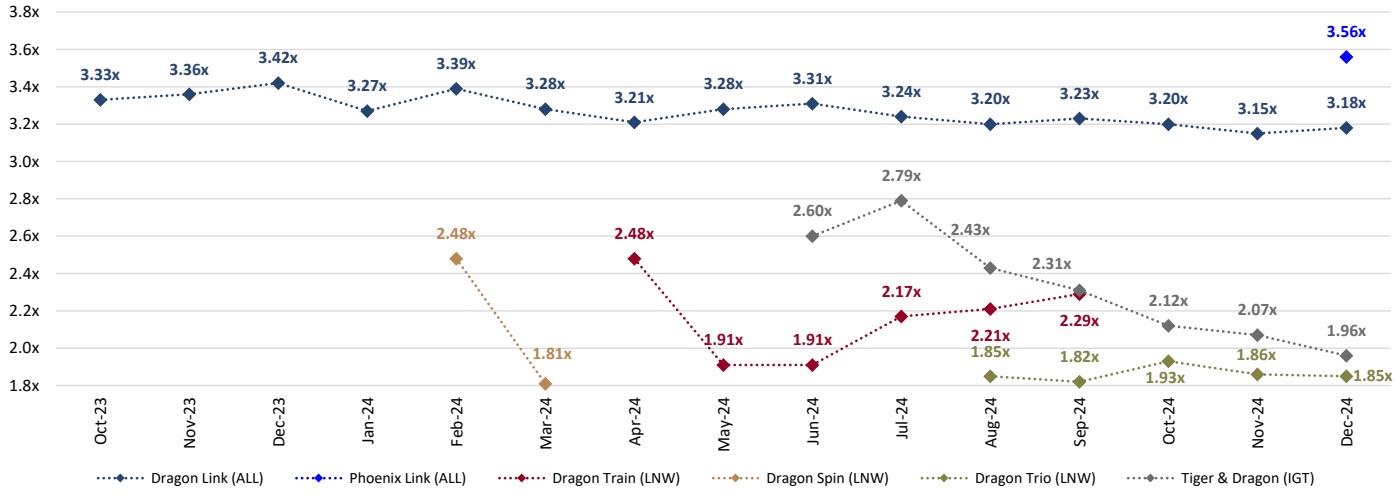
Exhibit 8 - Units Installed - New Games on Eilers Top 25 Indexing Premium Leased & WAP Games



Source: Eilers & Krejcik, E&P Estimates. Note: the figures should be used only as a guide as the survey does not represent entire population.

The chart below compares various Dragon/Phoenix themed games. Phoenix Link & Dragon Link appear to be in a class of their own, in a genre that is becoming increasingly saturated.

Exhibit 9 - Various Dragon/Phoenix Games - Premium Lease Net win vs. Zone



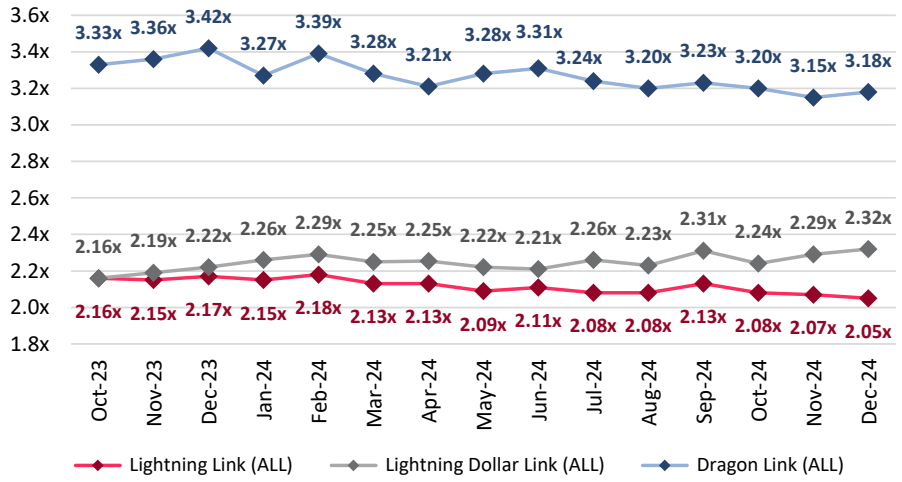
Source: Eilers & Krejcik, E&P Estimates

We think Phoenix Link will be a great net-add driver and cannibalisaiton will be limited for Aristocrat

Given our customer and industry meetings, we believe that demand for Dragon Link (at least initially) will not be impacted by Phoenix Link. Instead, we believe the two games will grow side by side quite well. If Aristocrat is going to experience any cannibalisation, contacts have generally pointed to Lightning Link being the more likely game to suffer some decline in install base. This is because the performance has been in gradual decline and installations appear to have plateaued.

So far our industry conversations have not indicated that Aristocrat's leading market share would require the substitution of older Aristocrat games for Phoenix Link. As such, we expect that in general terms the success of the game will drive unit expansion for Aristocrat.

Exhibit 10 - Lightning Link vs. Dragon Link - Premium Lease Net win vs. Zone



Source: Eilers & Krejcik, E&P Estimates

Most Anticipated Gaming Content

The chart below highlights the "most anticipated" data from Eilers. Dragon Train had very high anticipation once it neared release, but Phoenix Link interest is currently the record since we have tracked these survey results. Huff n' Puff continues to rate highly as the second most anticipated game in the market.

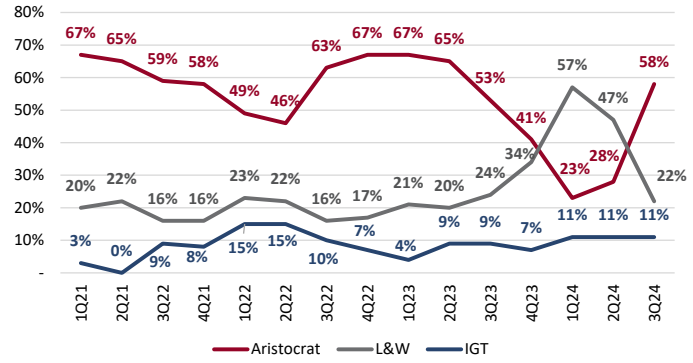
Exhibit 11 - Eilers & Krejcik - Most Anticipated Premium Leased Games by Supplier

			% of total Votes						
No.	Supplier	Game	3Q24	2Q24	1Q24	4Q23	3Q24	2Q23	1Q23
1	Aristocrat	Phoenix Link	48%	15%					
2	LNW	Huff N' Puff Money Mansion	7%	21%	4%				
3	Aristocrat	House of Dragon	4%						
3	IGT	Tiger & Dragon	4%	4%					
3	LNW	Dragon train	4%	7%	36%	6%	8%	4%	7%
3	LNW	Squid Game	4%	11%	12%	14%	8%		
7	Bluberi	Honey Bomb	3%						
7	IGT	Wheel of Fortune	3%						

Source: Eilers & Krejcik, E&P Estimates.

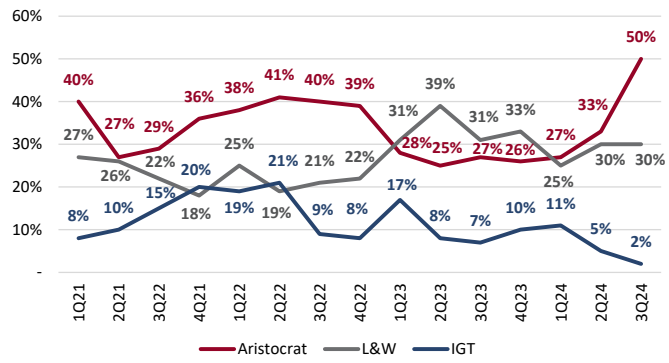
The shifts in the most anticipated games in the last few reports have been significant. Volatility has been driven by movements around NFL, Dragon Train, Huff N' Puff Money Mansion, Squid Game, and now Phoenix Link. LNW is showing a lot of consistency in having at least as many titles in each survey as anyone else. However, Phoenix Link has been the most anticipated game since we have had access to this data. The impact has suddenly and sharply reversed what was a very positive trend for LNW in terms of mind share in the market.

Exhibit 12 - Eilers & Krejcik - Most Anticipated Premium Leased Games by Supplier



Source: Eilers & Krejcik, E&P Estimates. Note: Percentages are cumulative of all games from each supplier that received votes.

Exhibit 13 - Eilers & Krejcik - Most Anticipated Core Cabinets by Supplier



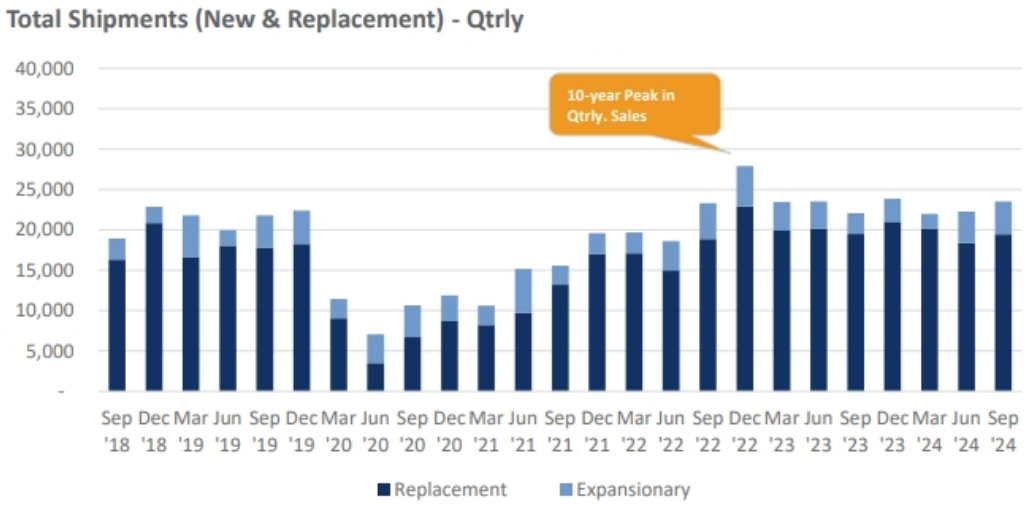
Source: Eilers & Krejcik, E&P Estimates. Note: Percentages are cumulative of all cabinets from each supplier that received votes.

Land-Based Commentary & Trends

Our recent industry meetings, as well as recent data, all point to a continued healthy level of casino capex spend, driven by a relatively healthy GGR environment overall. While we were in the US late last year, it was apparent from consistent feedback that the economy (and GGR environment specifically) is experiencing a barbell effect. This is where higher-income or list players grow their spend consistently, but visitation among mass market and lower-income cohorts becomes under pressure from the macro environment.

The next chart shows that overall quarterly slot shipments in North America have stabilised post-covid and appear healthy. Expansionary units in particular have picked up over the past few quarters.

Exhibit 14 - Total Quarterly North America Slot Shipments



Source: Eilers & Krejcik

Eilers & Krejcik is still forecasting growth in the overall market, with stable new & expansionary sales in the next few years combined with continued growth in replacements.

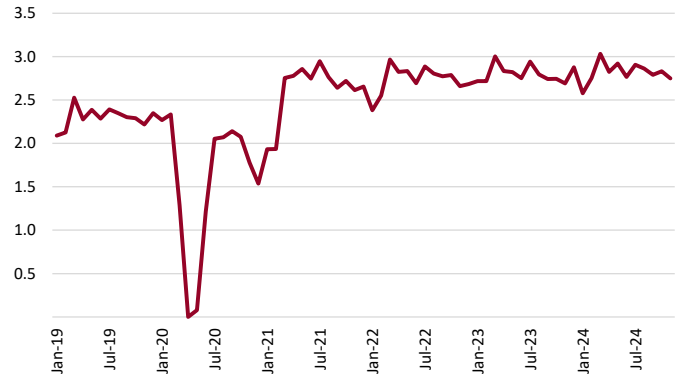
Exhibit 15 - Eilers & Krejcik North America Outright Sales Forecast Revisions

	New Estimates			Previous Estimates			Revisions		
Outright Sales	**CY24**	**CY25**	**CY26**	**CY24**	**CY25**	**CY26**	**CY24**	**CY25**	**CY26**
Replacements	78,175	79,955	81,030	78,520	80,296	81,384	-345	-341	-354
New & Expansionary	12,881	12,447	12,162	13,349	11,149	11,396	-468	+1,299	+766
Total	**91,055**	**92,403**	**93,192**	**91,869**	**91,444**	**92,780**	**-814**	**+958**	**+412**

Source: Eilers & Krejcik, E&P Estimates

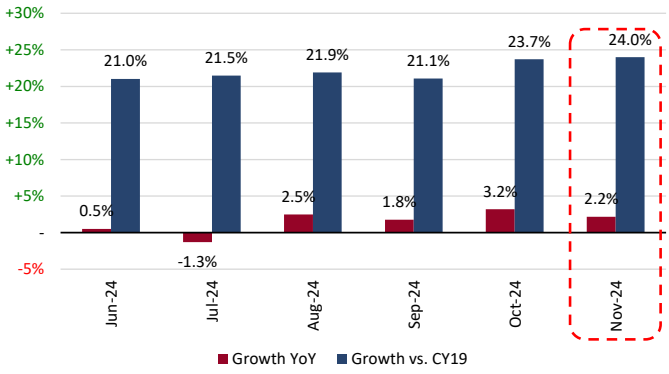
US slot GGR remains elevated above pre-covid levels. The recent four months have each experienced yoy growth after a period of zero growth/decline.

Exhibit 16 - US Slot GGR (US$bn.)



Source: UNLV, various state gaming bodies, E&P Estimates. Note: States include CO ,CT ,DE, FL, IL, IN ,IA ,KS ,ME ,MY, MA, MS, MO,NE ,NV ,NJ ,NM ,OH, PA ,RI ,SD.

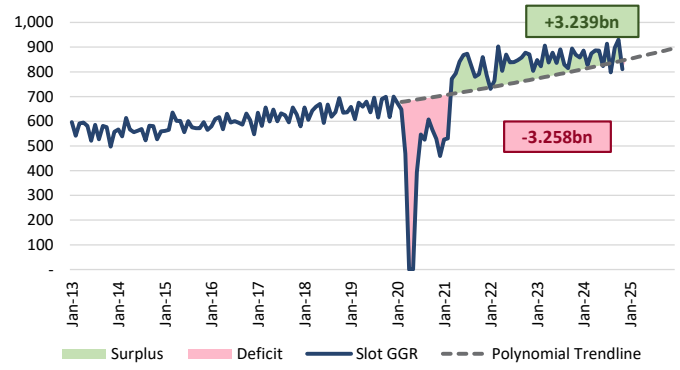
Exhibit 17 - US Slot GGR growth rates



Source: UNLV, various state gaming bodies, E&P Estimates. Note: States include CO ,CT ,DE, FL, IL, IN ,IA ,KS ,ME ,MY, MA, MS, MO,NE ,NV ,NJ ,NM ,OH, PA ,RI ,SD.

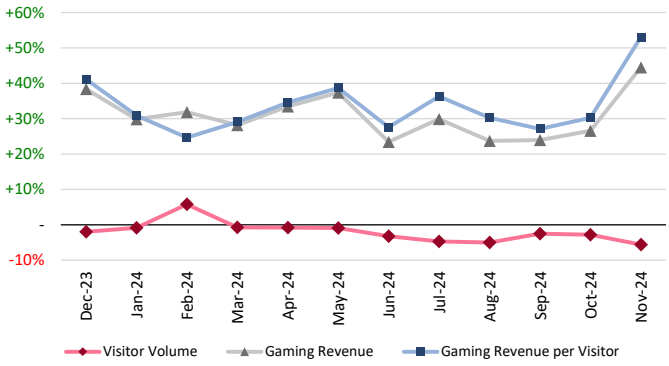
In Nevada, GGR has now started falling below the pre-covid polynomial trendline in some months. The cumulative net surplus GGR spend vs. the trendline since the lockdowns is also approaching the corresponding deficit accumulated during the lockdowns. GGR continues to be driven by spend per visitor, rather than a growth in visitation itself, as eleven of the past twelve months had lower Las Vegas visitors than their seasonal CY19 comparison.

Exhibit 18 - Nevada Slot GGR (US$m) - Surplus/Deficit based on pre-covid Polynomial trendline



Source: UNLV, various state gaming bodies, E&P Estimates

Exhibit 19 - Las Vegas Visitation and Gaming Revenue growth rates vs. CY19

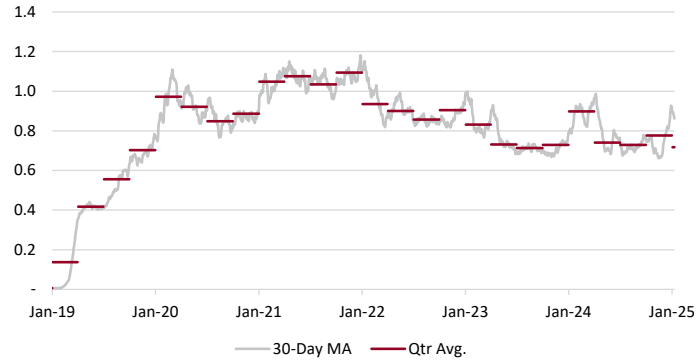


Source: LVCVA, E&P Estimates

Social Casual Commentary

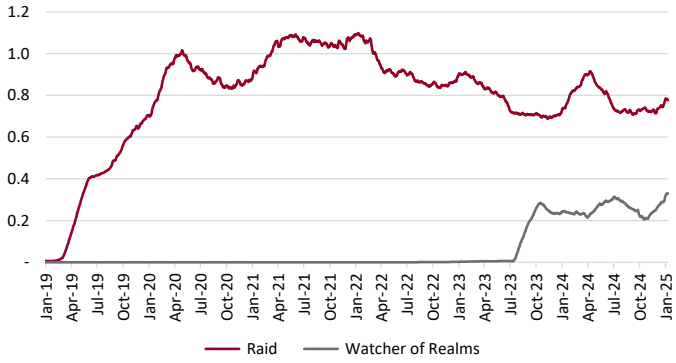
This segment will soon diminish in importance due to the sale of Plarium by Aristocrat. Overall Raid has performed solidly in the recent quarter, with numerous initiatives including a promotion around He-man as well as the launch of a new Clan Boss.

Exhibit 20 - Raid Shadow Legends Average Revenue per Day (US$m)



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

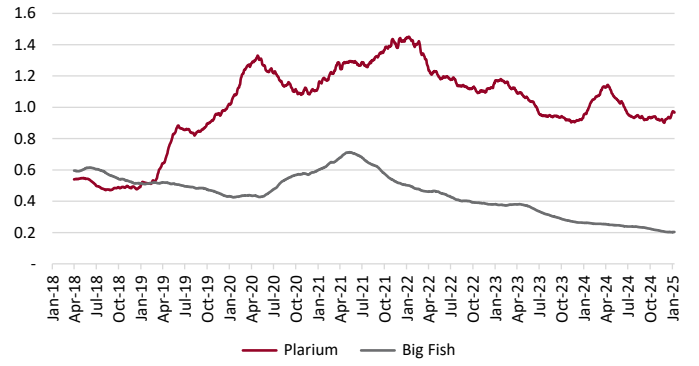
Exhibit 21 - Raid Shadow Legends & Watcher of Realms Average Revenue per Day (US$m) - 90 Day MA



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

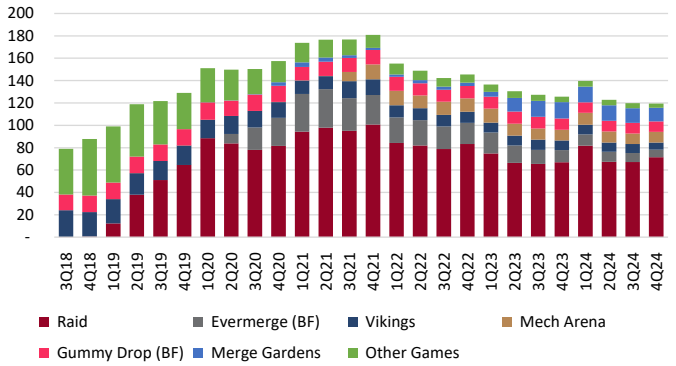
Below we split the revenue by Plarium (soon to be sold) and Big Fish. Big Fish franchises include Evermerge, Gummy Drop and a variety of other smaller games. Non-Raid games there appear to have marginal qoq revenue declines.

Exhibit 22 - Aristocrat Social Casual App Revenue by Developer (US$m)



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

Exhibit 23 - Aristocrat Social Casual App Revenue by Game (US$m)



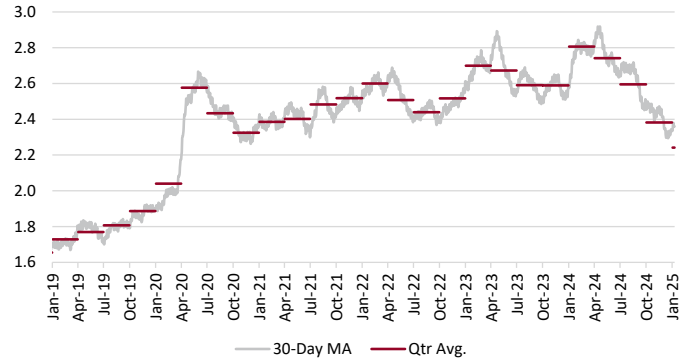
Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

Social Casino Commentary

Industry-wide Social Casino trends have been modest according to our most recent app spend data from AppMagic. We note that while these charts may indicate yoy declines in recent months, they do not account for revenue from direct-to-consumer (DTC) platforms or from advertising revenue. SciPlay appears to have performed notably better than Pixel United and the industry in general this quarter.

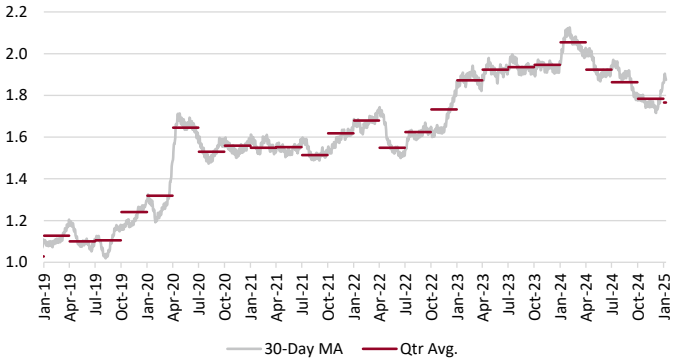
NFL slots launched in late 2024 and is thus far generating non-material revenues relative to the rest of Aristocrat's social casino portfolio. The app has received mixed reviews, with multiple customers reporting that the app is subject to frequent freezing.

Exhibit 24 - Pixel United Social Casino Average Revenue per Day (US$m)



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels. Apps include: Heart of Vegas, Big Fish Casino, Cashman Casino, Lightning Link, Jackpot Magic Slots & Mighty Fu Casino Slots.

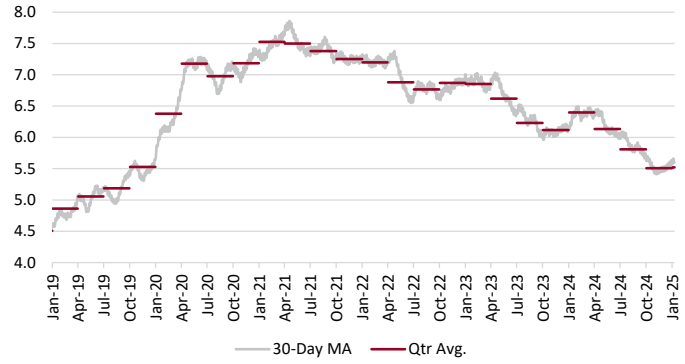
Exhibit 25 - SciPlay Social Casino Average Revenue per Day (US$m)



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels. Apps include: Heart of Vegas, Big Fish Casino, Cashman Casino, Lightning Link, Jackpot Magic Slots & Mighty Fu Casino Slots.

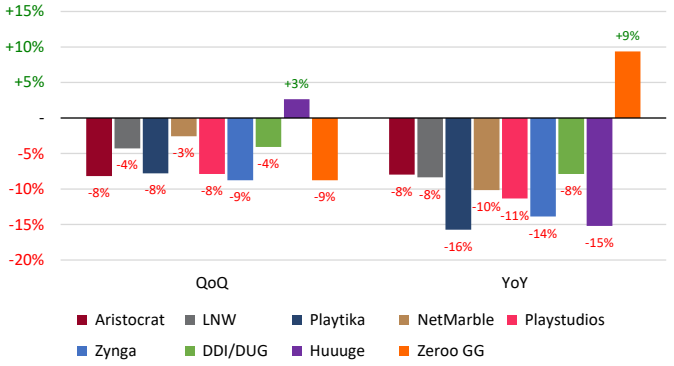
Overall, Social Casino spend trends have been declining this year on average across most peers within the industry.

Exhibit 26 - Social Casino Peers Average Revenue per Day (US$m)



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels. Note: peers include Playtika, NetMarble, Playstudios, Zynga, Double Down Interactive, Huuuge & Zeroo GG.

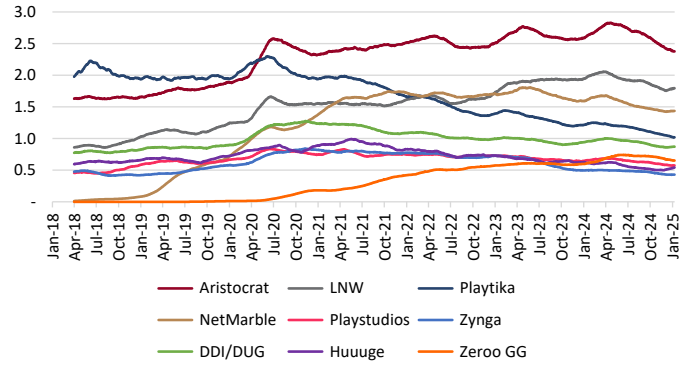
Exhibit 27 - Social Casino Peers Revenue Growth



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

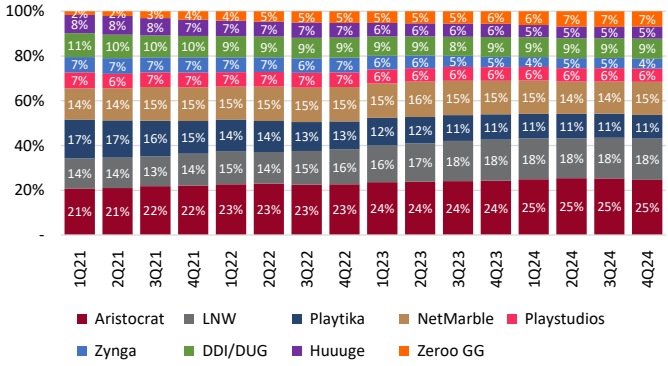
Aristocrat and LNW remain at the top of the industry in overall revenue per day. They also appear to have held share steady qoq. We believe this most likely indicates that LNW has actually taken share in the quarter given their focus on DTC migration.

Exhibit 28 - Social Casino Peers Average Revenue per Day (US$m) - 90 Day MA



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

Exhibit 29 - Social Casino Peers Market Share

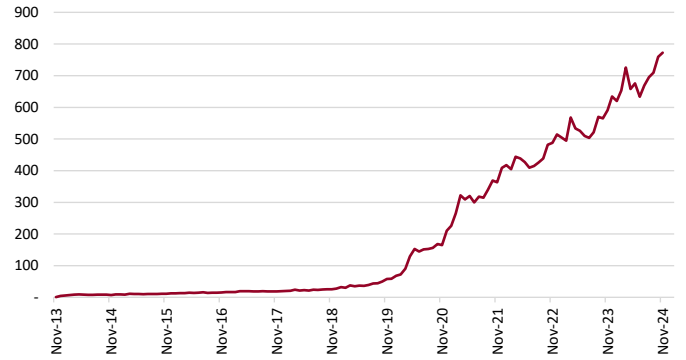


Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels

iGaming

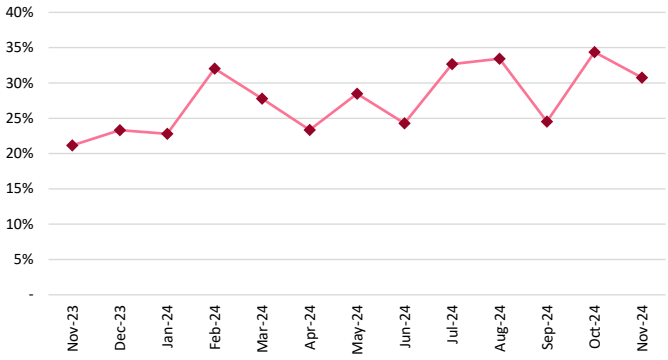
Overall there has been healthy growth in US Online Casino GGR throughout 2024, despite no new material states opening. Growth rates have continued to track in the have been at least 20% over the past year and continue to expand. As such the backdrop for both LNW and Aristocrat looks relatively healthy at present.

Exhibit 30 - US Online Casino GGR (US$m)



Source: Eilers & Krejcik, various state gaming bodies, E&P Estimates

Exhibit 31 - US Online Casino Growth (yoy)



Source: Eilers & Krejcik, various state gaming bodies, E&P Estimates

Changes to Forecasts and Valuations

Aristocrat

We have made the following key changes to forecasts for Aristocrat:

- FX updates for AUD/USD (significant);
- Slightly lowered shorter term Social Casino growth rate assumptions reflecting recent data;
- Reduced corporate cost assumptions (modelled as a % of revenue).

The changes to our forecasts are summarised in the table below.

Exhibit 32 - Aristocrat - changes to forecasts and valuation

		FY25E	FY26E	FY27E
Revenue	**New**	**7,197**	**7,416**	**8,009**
	Old	6,990	7,137	7,706
	% change	+3.0%	+3.9%	+3.9%
EBITDA	**New**	**2,833**	**3,039**	**3,316**
	Old	2,743	2,900	3,144
	% change	+3.3%	+4.8%	+5.5%
NPATA	**New**	**1,817**	**1,987**	**2,211**
	Old	1,745	1,884	2,086
	% change	+4.1%	+5.5%	+6.0%
Valuation	**New**	**$80.76**		
	Old	$74.54		
	Change %	+8.3%		

Source: E&Pe

Light & Wonder

We have made changes to our implied FX forecasts for LNW's international segment, and otherwise most of our operating assumptions remain unchanged. This leads to very minor forecast downgrades as shown in the table below.

Exhibit 33 - LNW - changes to forecasts and valuation

		FY24A	FY25E	FY26E
Revenue	New	3,160	3,317	3,566
	Old	3,164	3,338	3,588
	% Change	-0.1%	-0.6%	-0.6%
AEBITDA	New	1,225	1,332	1,493
	Old	1,227	1,342	1,504
	% Change	-0.2%	-0.8%	-0.7%
AEBIT	New	864	972	1,156
	Old	866	982	1,166
	% Change	-0.2%	-1.0%	-0.9%
NPATA	New	460	562	716
	Old	461	570	724
	% Change	-0.3%	-1.4%	-1.2%
Valuation	New	$194.00		
	Old	$196.00		
	% Change	-1.0%		

Source: E&Pe

Our forecasts vs consensus

Light & Wonder 4Q24

- Revenue: E&Pe $769m, VA Consensus $804m (-4.4%)
- AEBITDA: E&Pe $295m, VA Consensus $310m (-5.0%)
- NA Net Adds: E&Pe +98, VA Consensus +100 (-2.0%)
- NA FPD: E&Pe $48.39, VA Consensus $47.73 (+1.4%)

Lotteries

The Lottery Corp. (Positive, $5.35/sh valuation) and Jumbo (Positive, $17.80/sh valuation)

We previously explored in our initiation note Burger with the Lott that much of the volatility in TLC & Jumbo's revenue will be derived from Powerball and Oz Lotto's performance, as those are the large games that are subject to randomness. We had also previously flagged in our FY24 preview note (see here) the luck that Powerball & Oz Lotto benefited from in FY24, estimating them to be in the 86th/79th percentiles respectively. As such, we had already forecast a reversion in FY25 towards theoretical 50th percentile outcomes.

Unfortunately for TLC & Jumbo in 1H25, luck was not in their favour, as both Powerball & Oz Lotto generated below 50th percentile outcomes. Consequently, we expect turnover to be down -4.8% yoy and -15.8% hoh. However, we note that the randomness of lottery draws should be considered short-term impacts only, not indicators of underlying strength or weakness.

Other key ongoing issues heading into the 1H25 result include:

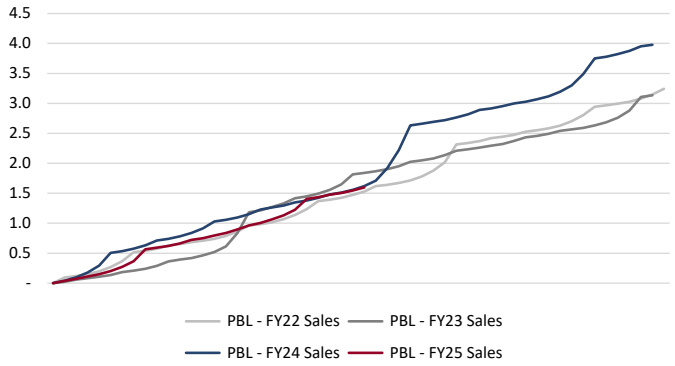
- Underlying consumer demand, which we typically measure by like-for-like jackpot (LFL) entries.
- An update on the impending Saturday Lotto game change.
- Digital migration.
- The potential early extension of the Victorian Lottery Licence (set to expire in 2028).
- The impact of alternative lottery-like products such as Foreign Matched Lotteries & Online Keno (both subject to an ongoing federal review) and the fast-growing Rewards Clubs (focused on trade promotion giveaways).

Powerball

At first glance, Powerball appeared to have a fairly average half, with flat growth yoy that mirrors the record FY24 in a YTD comparison. However, when digging a little deeper, the result from a luck perspective was actually much worse. In 1H25, Powerball used the accelerated sequence in 15 out of the 26 weeks vs. only 5 weeks in the record 2H24 half and 8 weeks in 1H24. Both the $100m jackpots in 1H25 occurred when the sequence was accelerated, which only takes 4 non-winning draws to reach.

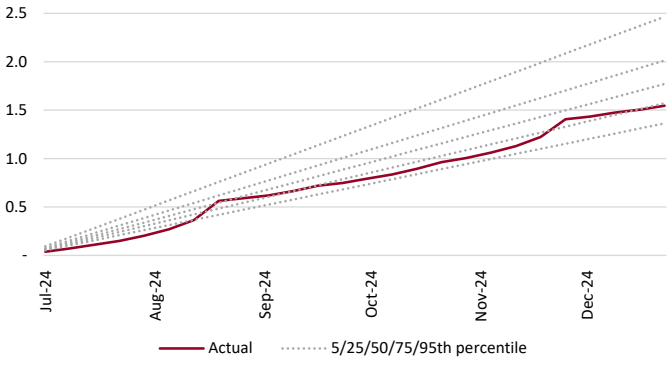
Aiding the acceleration was the fact that underlying LFL entries were stronger in 1H25 than the prior two halves. Consequently, the theoretical outcomes for 1H25 were record highs. Our calculations estimate that 1H25 was in the 22nd percentile vs. the 37th percentile in 1H24 (despite almost the exact same turnover).

Exhibit 34 - Cumulative Powerball Sales (A$bn, y-axis) by week in year (x-axis) - YTD



Source: Company Data, E&P Estimates. Note: Includes WA

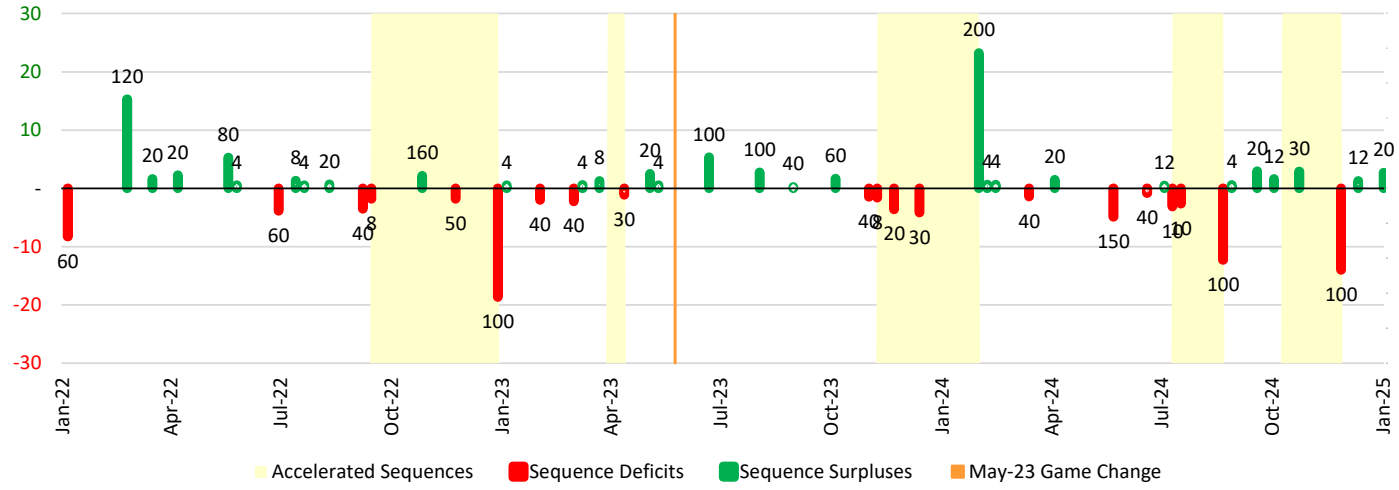
Exhibit 35 - Powerball Sales (A$bn, 1H25) relative to Monte Carlo Simulation Percentiles



Source: Company Data, E&P Estimates. Note: Includes WA.

We estimate that given the acceleration, 1H25 had the largest depletion of the prize reserve fund since the Apr-18 game change. This was primarily due to the 2x $100m jackpots that occurred during the accelerated sequence (reaching $100m in wk. 5).

Exhibit 36 - Powerball Net Sequence Prize Reserve Fund Accumulation (A$m) - jackpot as label (A$m)



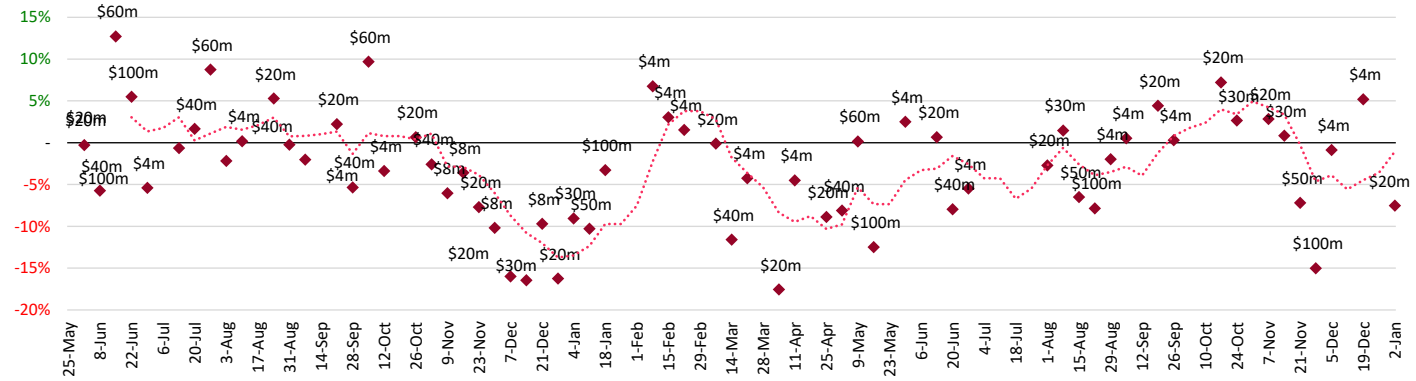
Source: Company Data, E&P Estimates. Note: Includes WA

Below is a chart that we previously introduced in Powerball or Bust. The initial concept was to explore the impact that the May-23 game change had on LFL entries.

- Initially, LFL entries appeared to remain robust, with no evidence of consumer resistance to higher prices.
- However, in late October, LFL entries began to deteriorate relative to their pre-game-change levels.
- LFL entries then saw a remarkable recovery in Feb-24 following the record $200m draw before declining again.
- Since then, LFL entries have slowly recovered and were relatively strong throughout most of 1H25.

In the short term, declining like-for-like jackpot entries decrease the probability of the jackpot going off, which actually increases the probability of larger jackpots. However, over the long run, this is not enough to offset the reduction in sales and the negative impact on the prize reserve fund, which in turn will result in slower sequences.

Exhibit 37 - Change in Powerball Like-for-Like Jackpot Entries post May-23 game change vs. the 12 months pre gamechange

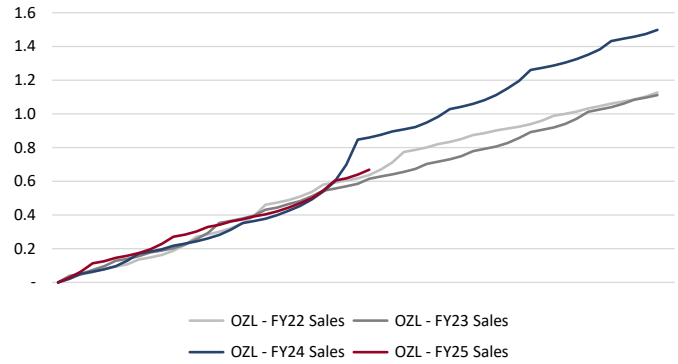


Source: Company Data, E&P Estimates. Note: excludes jackpots with fewer than three data points in the prior period. Comments are like-for-like jackpot size.

Oz Lotto

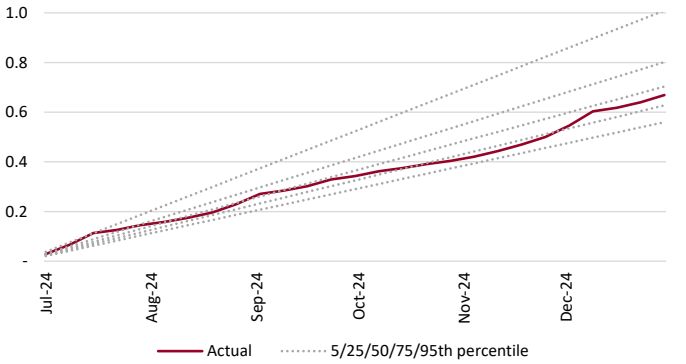
Oz Lotto had a slightly below-average half, finishing in the 39th percentile. Yoy turnover was down -20.8%, albeit 1H24 was a very favourable half that finished in the 91st percentile and was driven by a 10-week-long sequence that culminated in a $90m jackpot.

Exhibit 38 - Cumulative Oz Lotto Sales (A$bn, y-axis) by week in year (x-axis) - YTD



Source: Company data, E&P Estimates. Note: Includes WA

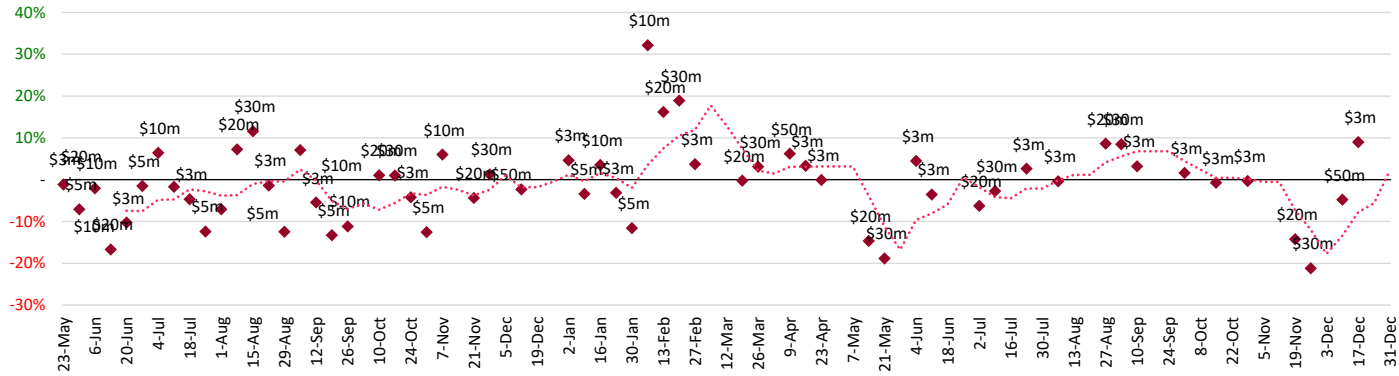
Exhibit 39 - Oz Lotto Sales (A$bn, 1H25) relative to Monte Carlo Simulation Percentiles



Source: Company Data, E&P Estimates. Note: Includes WA.

Oz Lotto's LFL entries were more consistent than Powerball. The only major swings in momentum appeared to be driven by the corresponding Powerball jackpots. For example, LFL entries appear to have received a boost to entries immediately after the record $200m draw in February, but showed weakness in entries leading up to the $150m/$100m draws in May/December.

Exhibit 40 - Change in Oz Lotto Like-for-Like Jackpot Entries post the Powerball game change (May-23) vs. the prior 12 months



Source: Company Data, E&P Estimates. Note: excludes jackpots with fewer than three data points in the prior period. Comments are like-for-like jackpot size.

Saturday Lotto

Saturday Lotto's sequence is largely at the discretion of TLC's management and therefore is not subject to the same luck component as Powerball & Oz Lotto. However, it is still the second largest game and does undergo some variation in earnings based on the timing of Super/Megadraws.

In 1H25, Saturday Lotto had much less frequent Super/Megadraws, generating its lowest turnover since covid and -10.3% yoy. The primary reason for this was to replenish the prize reserve fund. In Powerball or Bust, we previously explored how TLC's management were using extra Super/Megadraws to help smooth turnover to offset the poor luck of Powerball & Oz Lotto in FY23. This then continued in FY24 but would ultimately need to be reversed.

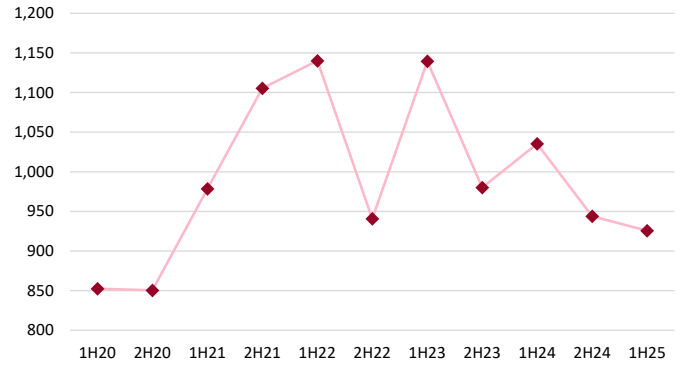
The other factor that impacted 1H25 was the timing of NYE. Typically, Saturday Lotto has its largest draw of the year on December 31st (often not on a Saturday) and consequently there is typically a 1H skew for Saturday Lotto. This year, the timing proved difficult and the $30m Megadraw was on January 4th. We estimate that had the Megadraw fallen in 1H25, this would have had a $7.5m impact on the prize reserve fund. Although a large swing, this indicates that an overall surplus (+$11m) would have been achieved regardless.

Exhibit 41 - Saturday Lotto Subscriptions and Net Prize Reserve Fund Accumulation

Period	Subscriptions	Prizes	Theoretical Prizes	Net PRF Accumulation
1H21	978,507,179	562,837,963	587,104,307	+24,266,344
2H21	1,105,404,675	656,230,181	663,242,805	+7,012,624
1H22	1,140,095,486	681,690,184	684,057,291	+2,367,108
2H22	940,748,291	565,375,674	564,448,975	-926,699
1H23	1,139,348,403	693,744,415	683,609,042	-10,135,373
2H23	980,013,117	592,690,984	588,007,870	-4,683,114
1H24	1,035,199,623	626,252,355	621,119,774	-5,132,581
2H24	943,901,075	578,814,767	566,340,645	-12,474,122
1H25	**925,564,549**	**536,891,264**	**555,338,729**	**+18,447,466**

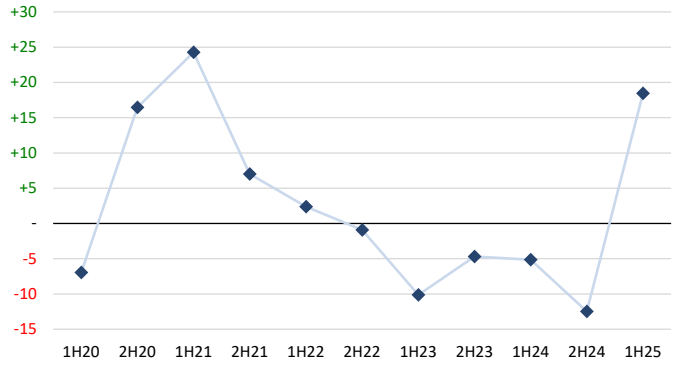
Source: Company Data, E&P Estimates

Exhibit 42 - Saturday Lotto Subscriptions (A$m)



Source: Company Data, E&P Estimates. Note: Includes WA.

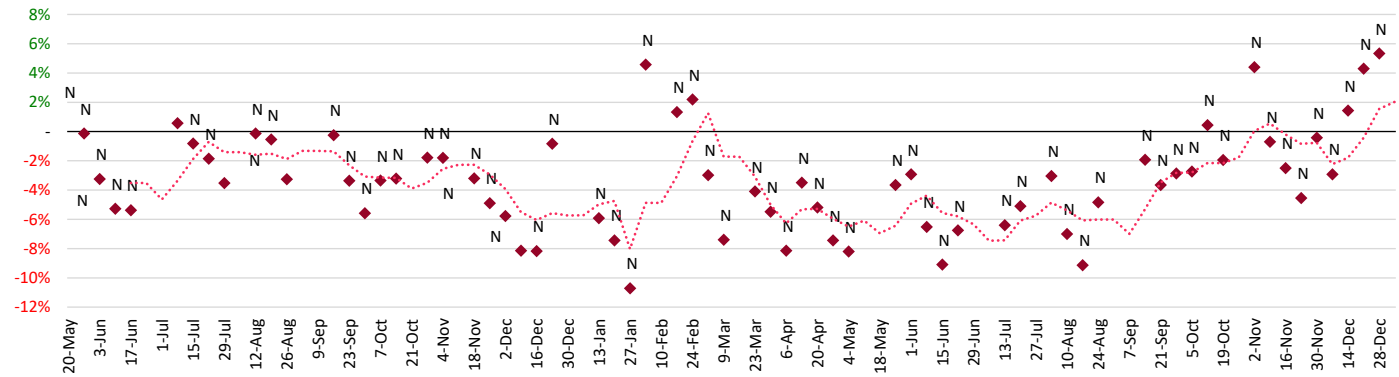
Exhibit 43 - Saturday Lotto Net Prize Reserve Fund Accumulation (A$m)



Source: Company Data, E&P Estimates. Note: Includes WA.

The interesting thing when you delve into the data is that of the major games, Saturday Lotto has actually seen the most strength in LFL entries, particularly towards the back end of CY24. This is more important than the turnover result for 1H25, as LFL entries represent the true underlying strength of the game.

Exhibit 44 - Change in Saturday Lotto Like-for-Like Jackpot Entries post Powerball May-23 game change vs. the 12 months pre game-change



Source: Company Data, E&P Estimates.

Weekday Windfall

In May-24, Monday & Wednesday Lotto underwent a game change plus a rebrand to Weekday Windfall. The odds and maths of the game did not change, but the subscription price increased by +9.1% and the game was extended to have an extra draw on Fridays.

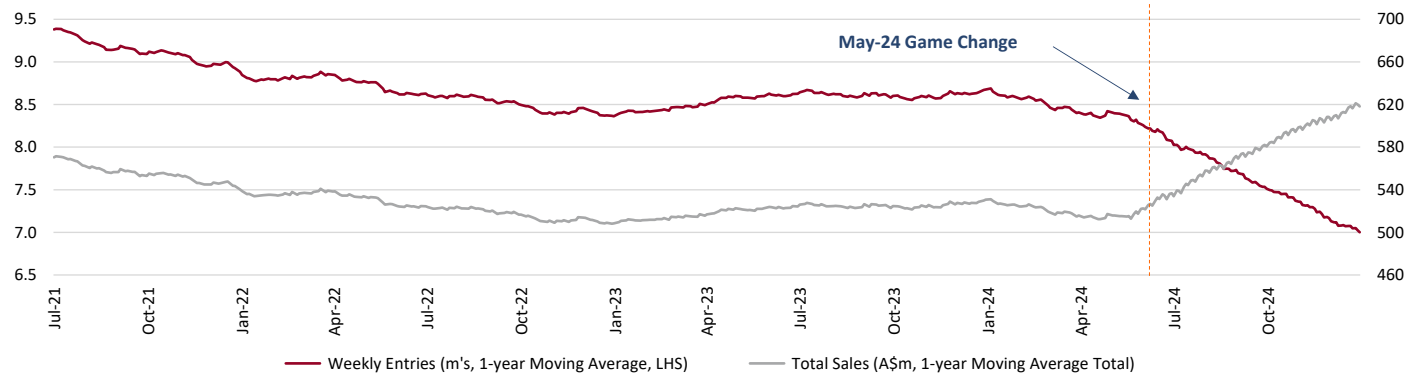
The overall outcome yielded mixed results that were slightly below our expectations. Although overall sales increased by +28.2%, due to the extra draw & higher subscription price, average entries fell -22.7%. This is much higher churn than we have historically seen for other game changes. Friday sales have specifically been lower than the other two day. However, the gap between Friday and the other days has not closed at all since the launch of the game 8-months ago.

Exhibit 45 - Weekday Windfall Game Changes & Outcome

	1H24	1H25	Change
Changes			
Odds & Prize Allocation	-	-	Unchanged
Frequency per Week	2	3	+50.0%
Subscription Price	$0.55	$0.60	+9.1%
Outcome			
Average Entries	8,404,383	6,498,627	-22.7%
Total Sales	**$269,930,285**	**$345,923,217**	**+28.2%**

Source: Company Date, E&P Estimates

Exhibit 46 - Weekday Windfall Game Change Comparison - Average Entries vs. Total Sales



Source: Company Data, E&P Estimates.

Turnover Estimates by Game

Below we briefly explain our turnover estimates by game for 1H25, relative to our previous estimates in August:

Powerball - Only a small miss, but this was hidden by the sequence acceleration offsetting some bad luck.

Oz Lotto - A slightly below 50th percentile run that only had 1x 50m jackpot.

Saturday Lotto - A reasonably big miss largely driven by the timing of the NYE draw. Will be offset by a corresponding revision in 2H25.

Weekday Windfall - A slight miss due to lower entries and weaker migration onto Friday draws.

Set for Life - A slight rebound following a downward trend.

Lucky Lotteries - An outperformer but not material. Never had much potential for 1H25 given both the Super and Mega draws were starting off with fairly low jackpots.

Exhibit 47 - E&P 1H25E Turnover by Game (A$m)

Game	1H24A	2H24A	1H25E	revision	yoy%	hoh%
Powerball	1,211	1,887	1,209	-3.0%	-0.2%	-35.9%
Oz Lotto	658	507	521	-4.4%	-20.8%	2.8%
Saturday Lotto	863	789	774	-7.6%	-10.3%	-1.9%
Monday & Wednesday Lotto	201	214	262	-3.0%	30.3%	22.4%
Set for Life	161	157	165	4.8%	2.5%	5.1%
Lucky Lotteries	45	64	38	42.2%	-15.6%	-40.6%
Instants	227	194	230	0.8%	1.3%	18.6%
Other	83	86	85	6.3%	2.4%	-1.2%
Total	**3,449**	**3,898**	**3,284**	**-3.2%**	**-4.8%**	**-15.8%**

Source: Company Data, E&P Estimates. Note: excludes WA

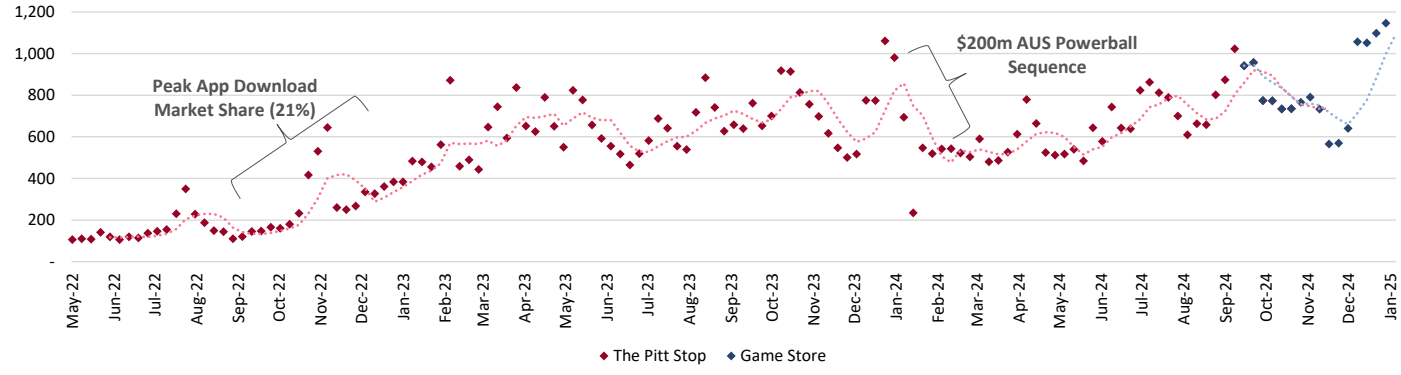
Foreign Matched Lotteries

The Lottery Office (TLO) and other overseas retailers continue to be viewed by the market as a source of potential competitive risk. Last year we did a deep dive into TLO's US operations, scale, and impact on TLC (see note). Since our publication, the AFR has reported that Communications Minister Michelle Rowland has started a review into offshore lottery providers and online keno distributors. The review has been supported in a statement by Australian Lottery and Newsagents Association (ALNA) CEO Ben Kearney, who represents what we believe is a critical lobbying partner for TLC.

We estimate that TLO's US sales declined in 1H25 vs. 1H24, primarily due to lower US Powerball & Mega Millions jackpots. For the US games, comparing LFL entries is rather tricky, as their game rules yield inconsistent jackpot sequences. However, the chart below attempts to partially solve this problem by simply dividing The Pit Stop's weekly sales (TLO's affiliate) by the average size of the US Powerball & Mega Millions jackpots throughout the week. Using this metric, TLO sales appear to have been relatively flat over the past 2-years, albeit with reasonably high volatility.

Interestingly, we are no longer able to find lottery sales data for “The Pit Stop Sports Bar & BBQ Grill”. Based on the timing and volume of sales, we believe it is quite likely that The Lottery Office has shifted their affiliate retailer to a place called “Game Store”. This is just a 7-min drive from The Pit Stop and has an address that corresponds to an office location that was recently available for lease.

Exhibit 48 - The Pit Stop Sports Bar & BBQ Grill + Game Store Weekly Lottery Sales divided by the US Powerball & Mega Millions Jackpots (US$m)



Source: Oregon Lottery, US Powerball, US Mega Millions, E&P Estimates. Note: US Jackpots are are the average combined size throughout the given week.

Changes to Forecasts and Valuations

TLC

We have made minor changes to our overall forecasts for TLC. The majority of our changes come from analysing the performance of each individual game and making adjustments to our turnover forecast.

Exhibit 49 - TLC changes to financial forecasts

		FY25E	FY26E	FY27E
Revenue	**New**	**3,687.0**	**3,885.1**	**3,995.2**
	Old	3,706.0	3,863.6	3,998.0
	% change	-0.5%	+0.6%	-0.1%
EBITDA	**New**	**709.4**	**748.9**	**773.2**
	Old	723.4	754.1	785.5
	% change	-1.9%	-0.7%	-1.6%
NPAT	**New**	**341.4**	**355.8**	**361.5**
	Old	351.9	358.9	370.1
	% change	-3.0%	-0.9%	-2.3%
Valuation	**New**	**$5.35**		
	Old	$5.46		
	% change	-2.0%		

Source: E&P Estimates

Jumbo

We have also only made minor changes to our Jumbo forecasts. We have assumed the same TLC-related implications for Jumbo but also made minor adjustments to our forecasts for the Managed Services segment to reflect commentary from Jumbo's AGM.

Exhibit 50 - Jumbo changes to financial forecasts

		FY25E	FY26E	FY27E
Revenue	**New**	**156.1**	**170.5**	**184.5**
	Old	154.5	170.2	184.4
	% change	+1.0%	+0.2%	+0.0%
EBITDA	**New**	**73.7**	**82.0**	**90.1**
	Old	73.7	81.8	90.2
	% change	-0.1%	+0.3%	-0.1%
NPAT	**New**	**42.5**	**50.0**	**56.1**
	Old	42.6	49.3	54.5
	% change	-0.3%	+1.5%	+2.9%
Valuation	**New**	**$17.80**		
	Old	$17.85		
	% change	-0.3%		

Source: E&P Estimates

Our forecasts vs consensus

TLC

Our TLC financial forecasts for 1H25 vs Visible Alpha consensus are as follows:

- Revenue: E&Pe $1,802m, VA Consensus $1,866m (-3.4%)
- EBITDA: E&Pe $349m, VA Consensus $377m (-7.4%)

Jumbo

Our Jumbo financial forecasts for 1H24 vs Visible Alpha consensus are as follows:

- Revenue: E&Pe $74.1m, VA Consensus $70.9m (+4.5%)
- EBITDA: E&Pe $35.3m, VA Consensus $32.4m (+9.1%)

Wagering

Tabcorp (Neutral, $0.60/sh valuation)

The wagering industry continues to be subject to an extended moderation period following a period of rapid expansion post-covid. The market is simultaneously being impacted by rising taxes as well as enhanced consumer protection restrictions such as the credit card ban and Betstop. These have collectively forced operators to pullback on generosities and focus on net win.

From Tabcorp's perspective, we expect the market to focus heavily on their strategy following the abandonment of Tab25 and the significant overhaul of key management personnel over the past 12-months. Two of their main catalysts to improve their competitive positions have both been subject to government delays, resulting in a quiet half from a media perspective. These include the potential for a level playing field in NSW and the impending advertising ban (see here).

Key issues going into the 1H25 result include:

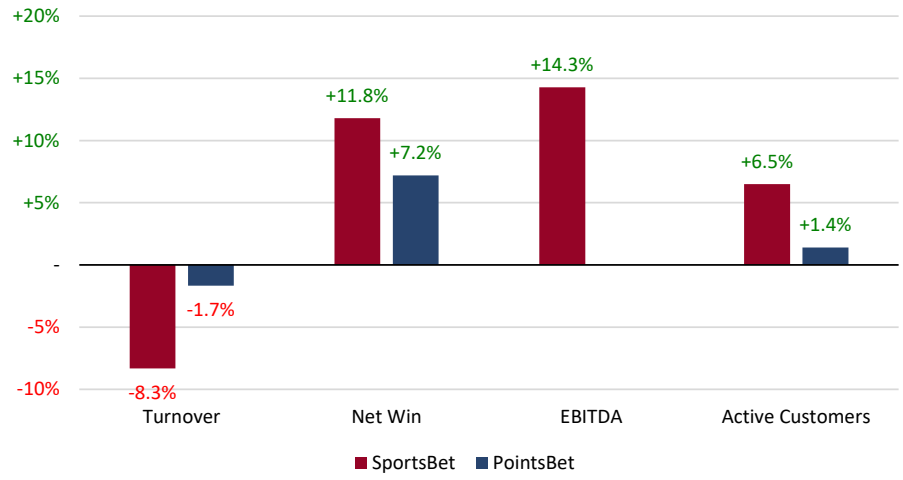
- Whether Tabcorp puts out new targets after abandoning Tab25 and writing down a significant value of assets in prior periods.
- A return to turnover growth post covid highs (particularly for racing).
- The potential increase in the NSW POCT rate and/or renegotiation of the retail licence terms (appears to have been delayed).
- The impacts of the incoming (also delayed) advertising ban and the potential for generosities restrictions.
- The potential to form a national tote.
- How to best maximize the value of media assets.
- Continuing to close the gap on digital competitiveness.
- The strategy for the Gaming Services business & Dabble investment.

Industry Comps

Feedback from industry comps suggests that 1Q25 was a continuation of prior quarters.

- Turnover continues to be weaker, but bookmakers are managing this by reducing generosities and increasing focus on higher-margin products to maximise net win.
- Racing continues to see yoy declines and cede share to sports, particularly driven by the younger generations.
- Bookmakers are seeing a return to growth in customer base, but industry feedback suggests that consumers' wallets have tightened since the post-COVID highs.
- SportsBet specifically saw their first quarter of yoy EBITDA growth (+14.3%) since 4Q22.

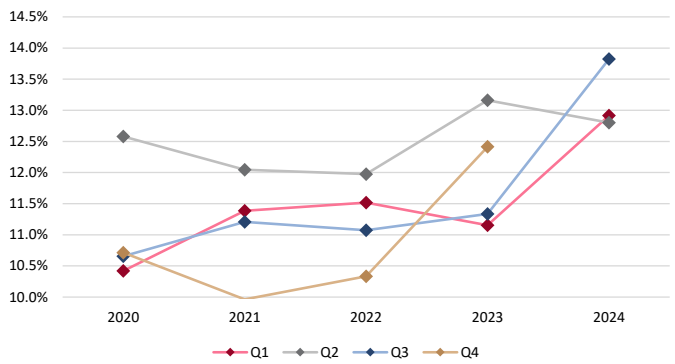
Exhibit 51 - Avaliable Australian Wagering Comps - 1Q25 YoY Growths



Source: Company Data, E&P Estimates

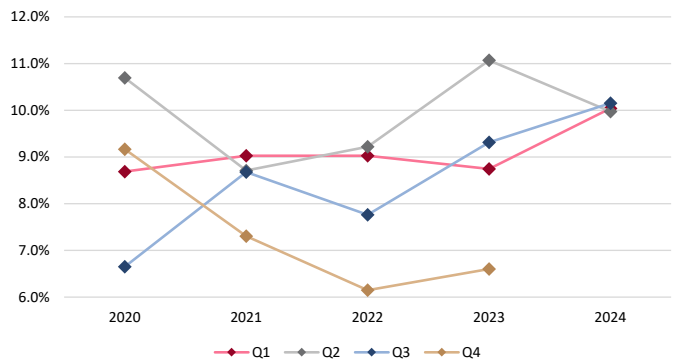
SportsBet in particular is leading the market at expanding net win. FY24 represented three of their four largest margin quarters.

Exhibit 52 - SportsBet Net Win Margin by Quarter



Source: Company Data, E&P Estimates

Exhibit 53 - PointsBet Net Win Margin by Quarter

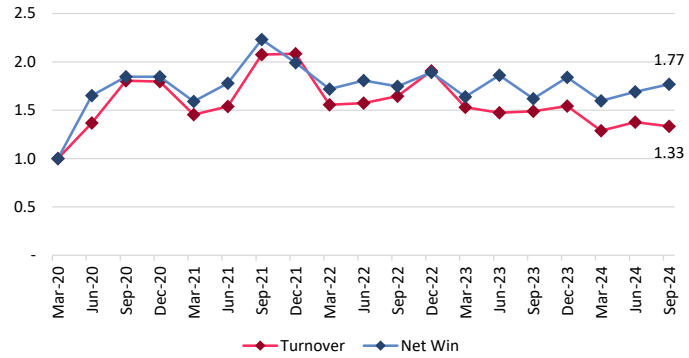


Source: Company Data, E&P Estimates

This has led to a material diversion in SportsBet's overall turnover and net win when looking at the long-term trends. PointsBet has also seen a divergence but to a lesser extent.

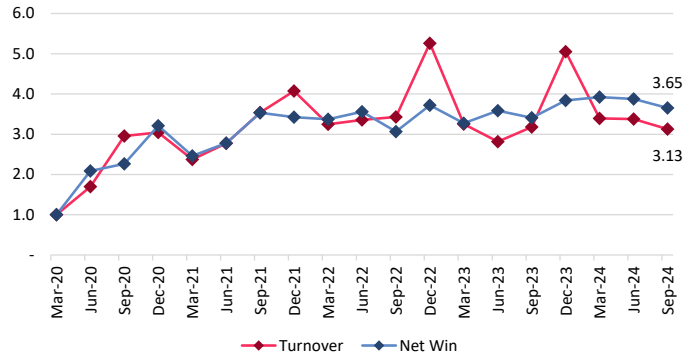
PointsBet has historically increased their marketing budget and generosities materially around racing season. This has resulted in somewhat 'outlier' levels of turnover during these periods. Industry feedback suggests that they may have somewhat pulled back this year.

Exhibit 54 - SportsBet Turnover & Net Win Index (Mar-20 = 1.0)



Source: Company Data, E&P Estimates

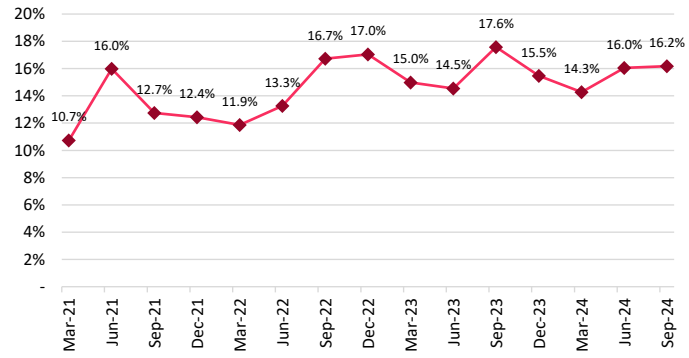
Exhibit 55 - PointsBet Turnover & Net Win Index (Mar-20 = 1.0)



Source: Company Data, E&P Estimates

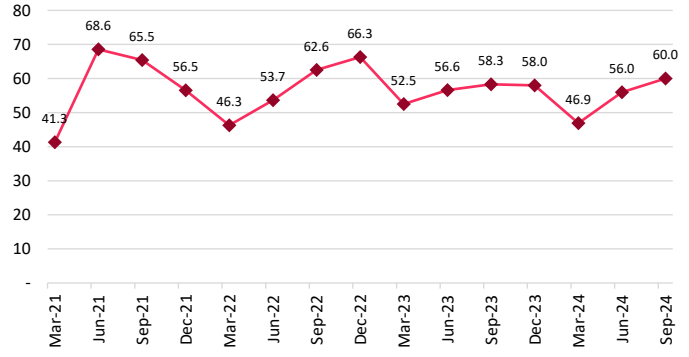
The impending TV advertising ban has not appeared to affect SportsBet's overall marketing budget. However, we believe they have shifted some TV spend to other channels such as social media. Media reports have quoted SportsBet saying they spent 21% less on the NRL/AFL finals and spring racing this year (2024) and had “reduced its advertising over the past two years, which we are evolving in line with community expectations”.

Exhibit 56 - SportsBet Sales & Marketing Expense as a % of Net Win



Source: Company Data, E&P Estimates

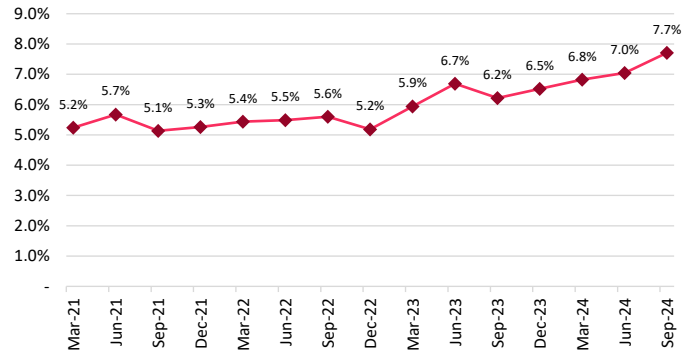
Exhibit 57 - SportsBet Sales & Marketing Expense (A$m)



Source: Company Data, E&P Estimates

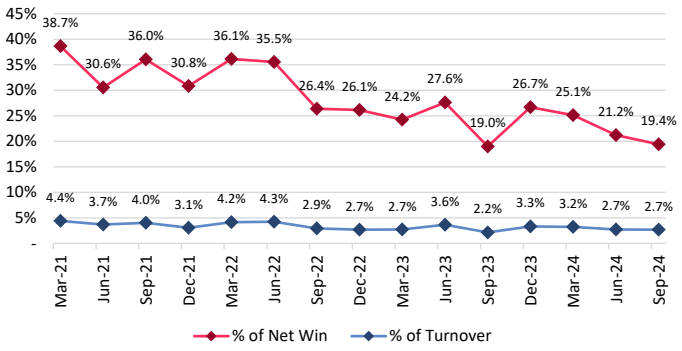
The major expense that has plagued the industry over the past few years is the increase in various state POCT's. SportsBets's cost of sales as a % of turnover has steadily risen to 7.7% in 1Q25 vs. 5.2% in 3Q21, effectively rising by +47.1% on a proportional level. Consequently, SportsBet's EBITDA margin has halved over the corresponding time period.

Exhibit 58 - SportsBet Cost of Sales as a % of Turnover



Source: Company Data, E&P Estimates

Exhibit 59 - SportsBet EBITDA Margin

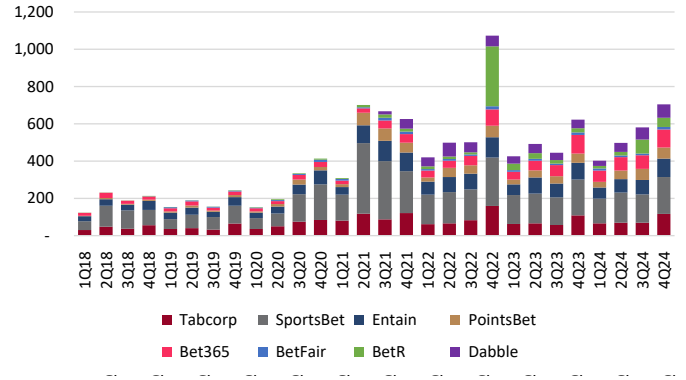


Source: Company Data, E&P Estimates

App Downloads

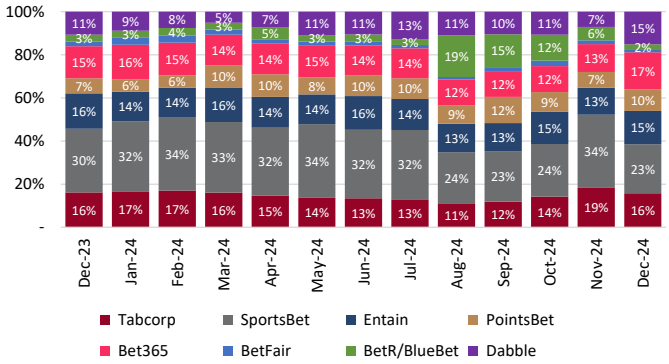
Total market app download data has remained steady with, 4Q24 being marginally ahead of pcp. Taborp's market share was declining throughout CY24 but saw significant gains during the racing carnival. SportsBet also had a strong racing carnival but has otherwise been weak over the past 6-months.

Exhibit 60 - Australian Wagering App Downloads (000's)



Source: AppMagic, E&P Estimates. Note: data includes IOS & Google stores, excludes non-mobile channels

Exhibit 61 - Australian Wagering App Downloads Market Share



Source: AppMagic, E&P Estimates. Note: data includes IOS & Google stores, excludes non-mobile channels

Changes to Forecasts and Valuations

We have made some moderate changes to our forecasts for Tabcorp, including the following:

- Slight adjustment down to VC margin in FY25
- Slight improvements from FY26 onwards from a view that advertising restrictions environment will slightly reduce industry generosities further;
- Tweaks around interest costs for VIC retail licence discount unwind.

Our changes to forecasts are shown in the table below.

Exhibit 62 - Tabcorp - changes to forecasts and valuation

		FY25E	FY26E	FY27E
Revenue	New	2,470.9	2,545.2	2,570.3
	Old	2,498.2	2,543.6	2,565.8
	% change	-1.1%	+0.1%	+0.2%
EBITDA	New	358.7	373.7	367.8
	Old	369.5	373.0	366.0
	% change	-2.9%	+0.2%	+0.5%
NPAT -	New	46.0	85.6	97.8
	Old	50.8	82.7	94.3
	% change	-9.5%	+3.4%	+3.6%
Valuation	New	$0.60		
	Old	$0.59		
	% change	+1.3%		

Source: E&Pe

Our forecasts vs consensus

Our forecasts are generally slightly below consensus albeit close (and catch up at the NPAT line due to differences in tax and interest income mainly.

E&P

1H25 - Revenue $1280.6m, EBITDA $189.6m, EBIT $89.6m, NPAT $28.9m

FY25 - Revenue $2470.9m, EBITDA $358.7m, EBIT $158.7m, NPAT $46.0m

Visible Alpha Consensus

1H25 - Revenue $1328.2m, EBITDA $194.2m, EBIT $93.4m, NPAT $27.5m

FY25 - Revenue $2570.0m, EBITDA $370.6m, EBIT $169.4m, NPAT $44.0m

Casinos

SkyCity (Neutral, $1.47/sh valuation)

SkyCity could potentially become the lone ASX-listed casino in the near future and has had a relatively quiet half relative to its Australian counterpart. However, it is also facing a challenging consumer environment, particularly in New Zealand. A lower RBNZ interest rate of 4.25% (vs. 5.5% in all of FY24) and the completion of various projects such as the Horizon Hotel, NZICC, and rail construction work offer hope for uplift in FY25. However, this is somewhat mitigated by the impending adoption of mandatory carded play.

Regulatory issues likely have one more major hurdle, being the Adelaide review from the CBS (due May-25), before investors can stop looking at the past and focus on the future.

Key issues going into the 1H25 result include:

- Economic environment and levels of consumer spend.
- The impact of adopting mandatory carded play expected in NZ by Jul-25 & Adelaide in early-26.
- The performance of the Horizon Hotel (opened Aug-24) and the flow-on effects to F&B, and gaming contributions.
- Update on the progress of the NZICC & rail construction works surrounding the casino precinct.
- Update on the potential legalization of iGaming in New Zealand to improve SkyCity's competitiveness (current timeline is legislation framework by Apr-25, licence auction by Feb-26 & operations commence in Apr-26).
- Balance sheet weakness and the potential sale of further assets.
- Update on the South Australian independent review by the CBS (delayed to May-25)
- Any knock-on effects from Star Entertainment's liquidity crunch.

Mandatory Carded Play

We would be remiss if we did not consider the situation of Star Entertainment. Their recent trading update showed a material decline in performance. In particular, management noted that since the implementation of mandatory carded play, revenue has declined by -16% compared to the 4 weeks prior to the first stage of implementation. However, we do not see this as a particularly negative read-through for SkyCity. SkyCity appears to be far further advanced at migrating customers onto carded play. Furthermore, they had already anticipated -15% to -20% revenue declines from uncarded gaming.

We note the following commentary from their FY24 result & AGM:

- Mandatory carded play (MCP) is expected in NZ in Jul-25 & Adelaide in early-26 (SKC initiative) with phased implementation.
- High existing carded base to build from — 65% Auckland, 70% Adelaide (95%+ premium value customers).
- Assume the initial impact of MCP is estimated to be 15% to 20% of uncarded gaming revenue. New Zealand is likely to see less impact vs. Adelaide due to lower competition.
- Currently have optional pre-commitment limits. In discussions with the regulator regarding compulsory pre-commitment. Break times and mandatory carded play are the primary concerns first.

Exhibit 63 - Star Entertainment Quarterly Financials

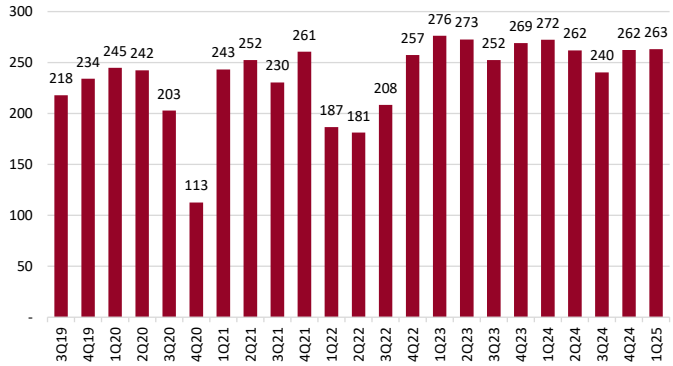
	QUARTERLY FINANCIALS (A$m)			CHANGE	
	Q2 FY25	Q1 FY25	Q2 FY24	vs. Q1 FY25 (last quarter)	vs. Q2 FY24 (pcp)
The Star Sydney					
Revenue	**$176**	$186	$229	(6%)	(23%)
EBITDA	**($4)**	($21)	$15	80%	(127%)
The Star Gold Coast					
Revenue	**$111**	$108	$120	3%	(7%)
EBITDA	**$11**	$7	$22	56%	(48%)

Source: Star Entertainment

Land-Based Commentary & Trends

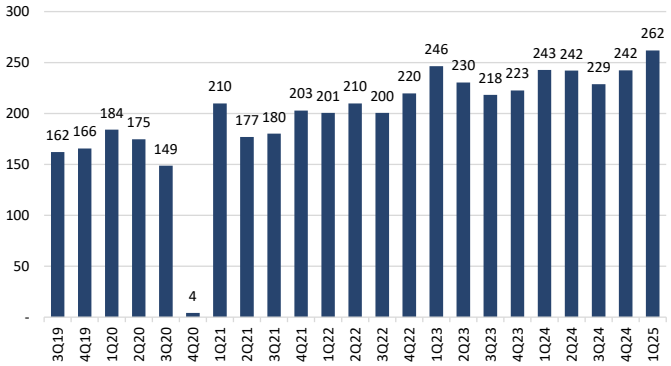
Below we show the available slot GGR data for New Zealand and South Australia. In New Zealand, 1Q25 GGR was down marginally yoy (-3.3%) but effectively flat qoq. In South Australia, 1Q25 generated record GGR levels by quite some margin and grew +7.8%/ +8.2% yoy/qoq. The general trendline post-COVID has been downwards for New Zealand but upwards for South Australia.

Exhibit 64 - Quarterly New Zealand Slot GGR (NZ$m)



Source: New Zealand Department of Internal Affairs, E&P Estimates

Exhibit 65 - Quarterly South Australian Slot GGR (A$m)

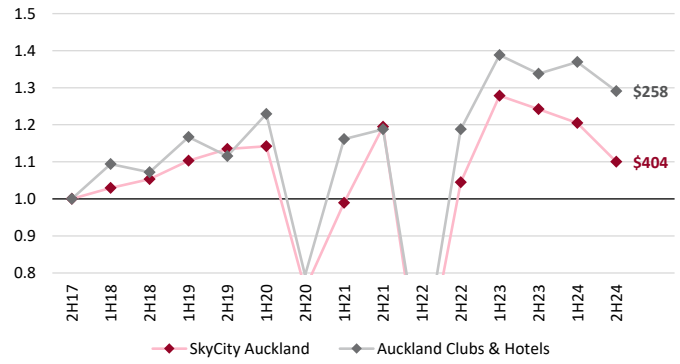


Source: South Australia Consumer and Business Services, E&P Estimates

The next two charts show general trends for slot average daily revenue (ADR) in both SkyCity's Auckland and Adelaide casinos, compared to general trends in both cities/states. Typically, the correlation is relatively strong between casinos and local areas. However, recently SkyCity Auckland has begun to fall below the overall Auckland region (when indexed). Adelaide, on the other hand, managed to stabilise in 2H24, with management noting a recovery in EGM spend and that they held market share at 9%.

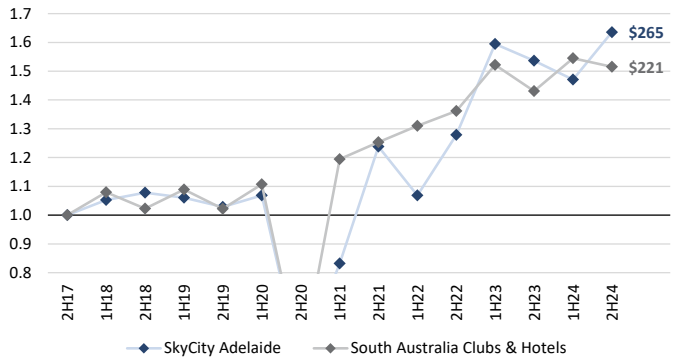
We expect that when mandatory carded play is required in the casinos but not in the corresponding pubs & clubs, SkyCity's casinos will see a comparative ADR decline.

Exhibit 66 - SkyCity Auckland vs. Auckland Region Slot Machine Average Daily Revenue index (2H17 = 1.0) – 2H24 nominal value as label ($NZ)



Source: New Zealand Department of Internal Affairs, Company Data, E&P Estimates

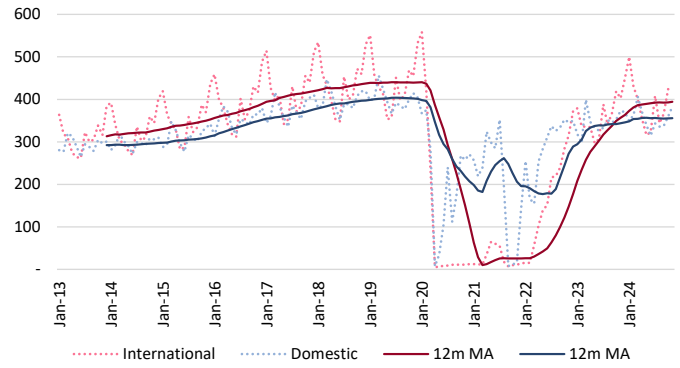
Exhibit 67 - SkyCity Adelaide vs. South Australia Slot Machine Average Daily Revenue index (2H17 = 1.0) – 2H24 nominal value as label ($A)



Source: South Australia Consumer and Business Services, Company Data, E&P Estimates

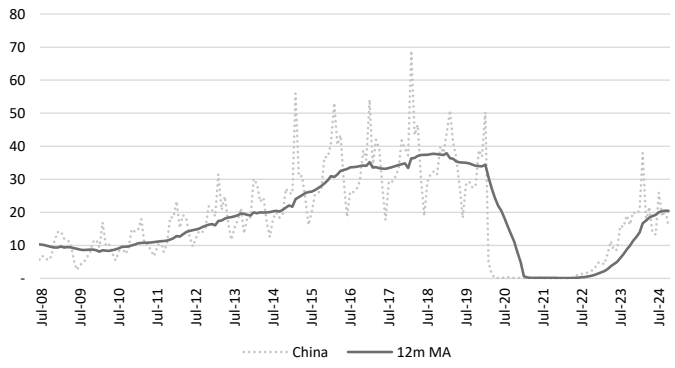
One factor that we believe is impacting the Auckland casino is that travel hasn't fully returned to pre-COVID levels. In particular, Chinese visitation is lagging relative to rest of the world, reducing the volume of high-roller players.

Exhibit 68 - Auckland Monthly Airport Arrivals (000's)



Source: Auckland Airport, E&P Estimates

Exhibit 69 - New Zealand Monthly Visitors from China (000's)



Source: StatsNZ, E&P Estimates

Changes to Forecasts and Valuations

We have made some revisions to our forecasts, incorporating updated FX assumptions and also reducing some Auckland growth drivers reflecting the continued weak macro backdrop impacting the market. In addition, we have incorporated NZD$30m of non-recurring expenses related to regulatory impacts.

Changes to our forecasts and valuation are shown in the table below.

Exhibit 70 - SkyCity - changes to forecasts and valuation

		FY25E	FY26E	FY27E
Revenue - Normalised	New	969.5	1044.6	1105.3
	Old	971.0	1055.7	1117.0
	% change	-0.2%	-1.1%	-1.1%
EBITDA - Normalised	New	260.6	269.2	296.5
	Old	263.6	282.4	310.3
	% change	-1.2%	-4.7%	-4.4%
NPAT - Normalised	New	79.2	84.2	104.0
	Old	81.4	93.6	113.8
	% change	-2.7%	-10.0%	-8.6%
Valuation	New	1.47		
	Old	1.62		
	% change	-9.2%		

Source: E&Pe

SkyCity has annual guidance in the market for Underlying Group EBITDA in the range of $245-265m, including $20-30m of costs related to risk and compliance uplift, Horizon Hotel opening costs, pre-opening investment in NZICC ($11m) and some investment in online gaming capability ahead of potential regulation of the NZ market. SkyCity has also guided to $60-70m of stay-in-business capex.

Visible Alpha consensus for 1h25 and FY25

1H25 - Revenue $489.2m, EBITDA $125.7m, NPAT $44.3m

FY25 - Revenue $974.8m, EBITDA $251.1m, NPAT $88.6m

We note in this regard that consensus is a little messier than for other companies due to a mix of underlying and statutory modelling and reporting. We therefore don't present our figures exactly vs consensus. Overall we believe we are slightly below consensus in FY25 overall, but with some complexity as to how EBITDA is treated within consensus, and some variation in different margin assumptions.

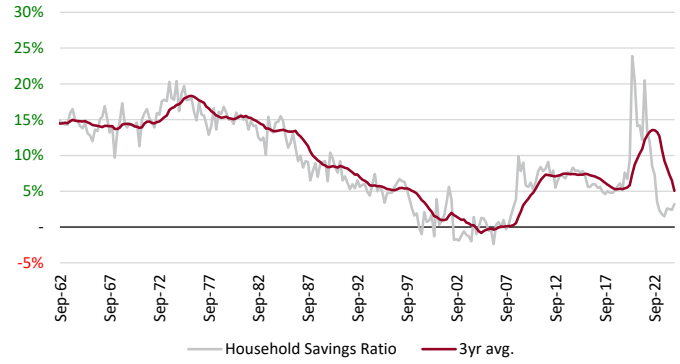
Consensus as presented is sitting towards the bottom of SkyCity's guidance range for EBITDA In FY25.

Relevant Australian Macro

The accrued savings during the COVID lockdowns have now all but eroded, with the household savings ratio down to levels last seen pre-GFC. Furthermore, the hike in interest rates led mortgage expense growth to significantly outpace CPI. Younger generations are the most exposed to interest rate hikes via either their mortgages or elevated rents, particularly given the housing shortages.

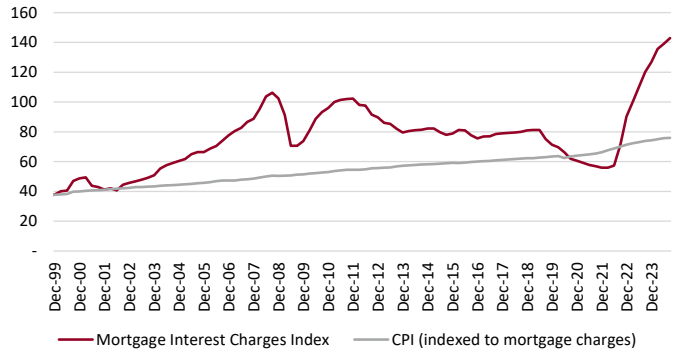
The CBA Cost of Living Insights report found that both essential & discretionary spending fell yoy in November for the 18-29 & 30-39 age groups. On the contrary, each 10-year age bracket of 40+ age groups increased overall spending, with the 70+ age group increasing essential & discretionary spending by 7.4%/8.0%. Given that wagering is over-indexed towards younger generations, this may partially explain the ongoing pullback in player spend.

Exhibit 71 - Household Savings Ratio



Source: ABS, E&P Estimates

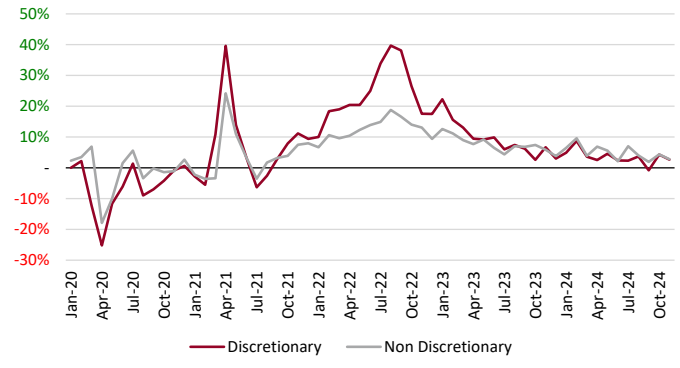
Exhibit 72 - Mortgage Interest Charge (index) relative to CPI



Source: ABS, E&P Estimates

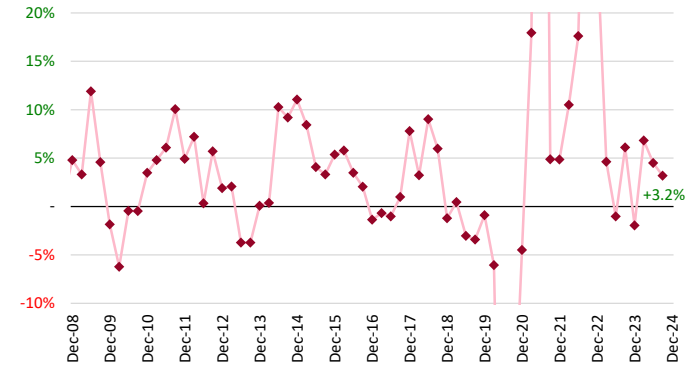
Household spending has now normalised post covid for both discretionary and non-discretionary purchases. Gambling expenditure growth specifically has had three consecutive quarters of growth (+3.2% in the Sep-Qtr).

Exhibit 73 - Household Spend Index - yoy growth



Source: ABS, E&P Estimates. Note: the ABS has recentely revised this dataset.

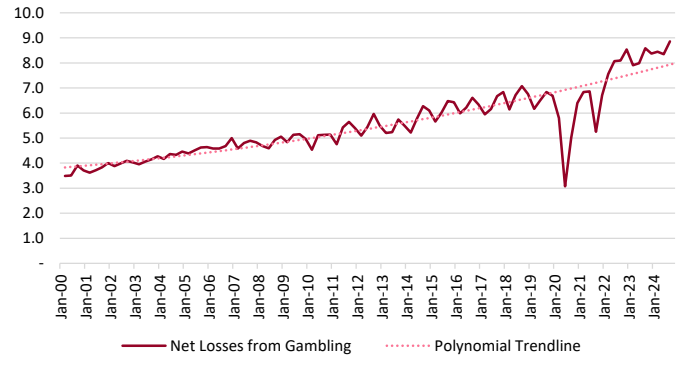
Exhibit 74 - Household Gambling Expenditure - yoy growth



Source: ABS, E&P Estimates

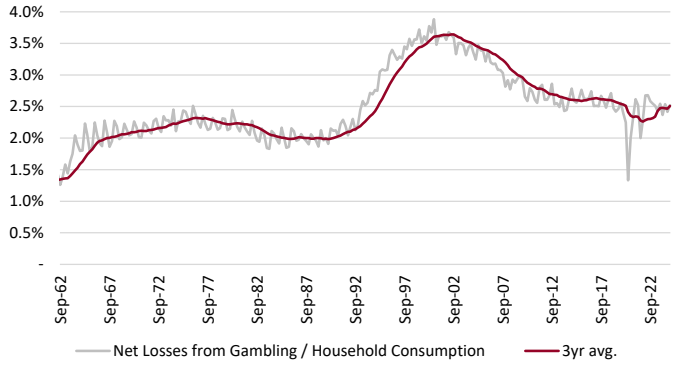
Over the long term, gambling spend has continued to grow nominally but appears to have stabilised at ~2.5% of household consumption over the past decade.

Exhibit 75 - Net Losses from Gambling (A$bn.)



Source: ABS, E&P Estimates

Exhibit 76 - Gambling Spend as a proportion of Household Consumption



Source: ABS, E&P Estimates

FINANCIAL SUMMARY

Aristocrat Leisure Ltd				ALL-ASX	
As at:	23/01/2025			Recommendation:	Positive

Year end	Sep	2024A	2025E	2026E	2027E
INCOME STATEMENT					
Total Operating Income/Revenue		6,603.6	7,196.8	7,415.7	8,009.5
EBITDA		2,459.3	2,833.2	3,038.5	3,315.7
D&A		(471.3)	(489.6)	(520.8)	(538.6)
EBIT		1,988.0	2,343.6	2,517.7	2,777.0
Net Interest Expense		(55.1)	(94.7)	(43.3)	(4.4)
PBT		1,733.3	2,248.9	2,474.3	2,772.6
Tax expense		(423.2)	(562.2)	(618.6)	(693.1)
NPAT attributable to s'hers		**1,310.1**	**1,686.7**	**1,855.7**	**2,079.4**
Adjusted Net Profit		1,310.1	1,686.7	1,855.7	2,079.4
Year end	**Sep**	**2024A**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Cash		943.8	2,329.2	3,108.6	3,983.2
Current Receivables		1,089.9	1,043.2	1,137.4	1,227.9
Inventories		277.8	290.4	311.3	332.3
Other Current Assets		114.7	114.7	114.7	114.7
Total Current Assets		2,426.2	3,777.5	4,672.0	5,658.1
Property Plant & Equipment		575	715	775	839
Intangibles		5,346.8	4,365.9	4,303.7	4,261.8
Other Non-Current Assets		212.7	212.7	212.7	212.7
Total Non-Current Assets		7,777.0	6,935.9	6,934.1	6,956.2
Total Assets (BS)		10,203.2	10,713.4	11,606.2	12,614.2
Liabilities					
Short Term Debt		92.8	92.8	92.8	92.8
Total Current liabilities		1,578.2	1,387.2	1,468.0	1,546.2
Long Term Debt		1,990.8	1,990.8	1,990.8	1,990.8
Total Non-Current Liabilities		2,445.3	2,445.3	2,445.3	2,445.3
Total Liabilities		4,024	3,832	3,913	3,992
Total Shareholders' Equity		6,279.9	6,981.1	7,763.3	8,693.1
Net Assets		6,179.7	6,880.9	7,692.9	8,622.7
Book Value		6,279.9	6,981.1	7,763.3	8,693.1
Year end	**Sep**	**2024A**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		2,366.4	2,833.2	3,038.5	3,315.7
Change in Working Capital		0.0	(156.9)	(34.4)	(33.2)
Other Operating Cashflow		(24.3)	0.0	0.0	0.0
Gross Operating Cash Flow		**2,342.1**	**2,676.3**	**3,004.1**	**3,282.5**
Net interest paid		(52.7)	(94.7)	(43.3)	(4.4)
Tax Paid		(553.6)	(562.2)	(618.6)	(693.1)
Net Operating Cash Flows		**1,735.8**	**2,019.4**	**2,342.2**	**2,584.9**
Investing Cash Flows					
Purchase of PP&E		(494.1)	(548.5)	(519.1)	(560.7)
Other Investing Cashflows		6.0	0.0	0.0	0.0
Total Investing CashFlow		**(2,007.2)**	**351.5**	**(489.2)**	**(560.7)**

Source: Company data, E&P estimates

Share Price:	AUD70.50

Year end	Sep	2024A	2025E	2026E	2027E
FINANCING CASH FLOWS					
Proceeds from Borrowings		(100.4)	0.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(837.4)	(425.0)	(500.0)	(500.0)
Distributions		(447.7)	(560.5)	(573.6)	(649.7)
Total Financing Cash Flow		**(1,526.0)**	**(985.5)**	**(1,073.6)**	**(1,149.7)**
Net Change in Cash		(1,896.5)	1,385.4	779.4	874.6
Free Cashflow		1,241.7	1,470.9	1,823.1	2,024.2
Year end	**Sep**	**2024A**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		207.5	269.5	300.0	340.5
DPS (cents)		78.0	89.2	92.1	105.7
Cash Flow Per Share (cents/share)		196.6	235.0	294.7	331.5
Book Value ($/sh)		997.8	1,117.8	1,259.0	1,428.2
Year end	**Sep**	**2024A**	**2025E**	**2026E**	**2027E**
SEGMENTALS					
Gaming Revenue		3,628.6	4,208.4	4,576.6	4,889.7
Digital Revenue		2,639.3	2,244.5	1,815.8	1,836.0
Interactive Revenue		335.7	743.9	1,023.2	1,283.8
Segment Revenue		6,603.6	7,196.8	7,415.7	8,009.5
Gaming EBITA		2,021.6	2,420.2	2,672.3	2,879.4
Digital EBITA		958.8	846.1	681.3	708.1
Interactive EBITA		104.4	264.9	372.7	481.4
Segment EBITA		3,084.8	3,531.2	3,726.3	4,068.8
Year end	**Sep**	**2024A**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		37.2	39.4	41.0	41.4
EBIT Margin (%)		30.1	32.6	34.0	34.7
Net Profit Margin (%)		19.8	23.4	25.0	26.0
Capital Employed		7,319.5	6,635.3	6,668.0	6,723.1
Return on Capital Employed (%)		30.0	33.6	37.9	41.5
EBITDA/Capital Employed (%)		37.2	40.6	45.7	49.5
ROE %		**20.1**	**25.4**	**25.2**	**25.3**
Net Debt/Equity (%)		18.1	(3.5)	(13.2)	(21.9)
Net Debt/Net Debt & Equity (%)		15.4	(3.6)	(15.2)	(28.0)
Net Debt/EBITDA (x)		0.5	(0.1)	(0.3)	(0.6)
Net Interest Cover (x)		12.1	14.3	15.4	17.0
GOCF/EBITDA (%)		1.0	0.9	1.0	1.0
Total Capex/Sales (%)		30.5	(4.9)	6.6	7.0
Working Capital/Sales (%)		0.1	0.1	0.1	0.1
D&A/PP&E (%)		82.0	68.5	67.2	64.2
EV/EBITDA (x)		17.5	14.6	13.2	11.7

BLENDED VALUATION		
Valuation - DCF	80.76	100.0%
Valuation - Capitalisation of Earnings	0.00	0.0%
Valuation - PER	0.00	0.0%
Valuation - SOTP	0.00	
Valuation	AUD80.76	

Light and Wonder				LNW-ASX	
As at:	23/01/2025			Recommendation:	Positive

Year end	Dec	2024E	2025E	2026E	2027E
INCOME STATEMENT					
Total Operating Income/Revenue		3,159.8	3,316.9	3,565.5	3,841.6
EBITDA		1,224.8	1,332.1	1,492.9	1,676.4
D&A		(360.4)	(359.9)	(336.8)	(351.7)
EBIT		864.3	972.2	1,156.1	1,324.7
Net Interest Expense		(291.9)	(269.3)	(257.9)	(246.7)
PBT		572.4	702.9	898.2	1,078.1
Tax expense		(74.2)	(106.5)	(147.5)	(185.2)
Share of profits from associates		0.0	0.0	0.0	0.0
Minority Interest		0.0	0.0	0.0	0.0
NPAT attributable to s'hers		**315.2**	**400.5**	**554.7**	**696.8**
Normalisation Adjustments		183.0	196.0	196.0	196.0
Adjusted Net Profit		498.2	596.5	750.7	892.8
Year end	**Dec**	**2024E**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Cash		496.5	755.1	1,014.3	1,526.2
Current Receivables		545.8	598.9	645.3	695.3
Other Current Assets		115.0	115.0	115.0	115.0
Total Current Assets		1,157.3	1,469.0	1,774.6	2,336.5
Property Plant & Equipment		319	298	351	416
Intangibles		635.0	561.9	524.4	511.6
Other Non-Current Assets		367.0	367.0	367.0	367.0
Total Non-Current Assets		4,275.1	4,180.6	4,196.6	4,248.3
Total Assets (BS)		5,432.4	5,649.5	5,971.2	6,584.9
Liabilities					
Short Term Debt		3,873.0	3,873.0	3,873.0	3,873.0
Total Current liabilities		4,520.4	4,528.7	4,539.8	4,549.2
Total Non-Current Liabilities		208.0	208.0	208.0	208.0
Total Liabilities		4,728	4,737	4,748	4,757
Total Shareholders' Equity		878.2	1,094.6	1,415.4	2,028.2
Net Assets		704.0	912.8	1,223.4	1,827.7
Net Tangible Assets		(2,710.8)	(2,421.2)	(2,063.0)	(1,437.4)
Book Value		878.2	1,094.6	1,415.4	2,028.2
Year end	**Dec**	**2024E**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		873.8	1,332.1	1,492.9	1,676.4
Change in Working Capital		(75.6)	(52.4)	(45.5)	(49.2)
Other Operating Cashflow		(20.0)	(80.0)	(80.0)	(80.0)
Gross Operating Cash Flow		**778.2**	**1,199.7**	**1,367.4**	**1,547.2**
Net interest paid		(68.9)	(269.3)	(257.9)	(246.7)
Tax Paid		(52.2)	(106.5)	(147.5)	(185.2)
Net Operating Cash Flows		**657.0**	**824.0**	**962.0**	**1,115.3**
Investing Cash Flows					
Purchase of PP&E		(284.5)	(265.4)	(352.8)	(403.4)
Other Investing Cashflows		(6.0)	0.0	0.0	0.0
Total Investing CashFlow		**(290.5)**	**(265.4)**	**(352.8)**	**(403.4)**

Source: Company data, E&P estimates

Share Price:	AUD145.66

Year end	Dec	2024E	2025E	2026E	2027E
FINANCING CASH FLOWS					
Proceeds from Borrowings		(5.0)	0.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(347.0)	(300.0)	(350.0)	(200.0)
Total Financing Cash Flow		**(392.0)**	**(300.0)**	**(350.0)**	**(200.0)**
Net Change in Cash		(25.5)	258.6	259.2	511.9
Free Cashflow		372.5	558.6	609.2	711.9
Year end	**Dec**	**2024E**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		562.6	686.9	885.1	1,061.4
Cash Flow Per Share (cents/share)		420.7	643.3	718.2	846.3
Book Value ($/sh)		991.7	1,260.6	1,668.6	2,411.1
NTA Per Share ($/sh)		(3,061.4)	(2,788.4)	(2,432.2)	(1,708.7)
Year end	**Dec**	**2024E**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		38.8	40.2	41.9	43.6
EBIT Margin (%)		27.4	29.3	32.4	34.5
Net Profit Margin (%)		15.8	18.0	21.1	23.2
Capital Employed		4,080.5	4,030.7	4,082.1	4,174.5
Return on Capital Employed (%)		21.6	24.0	28.5	32.1
EBITDA/Capital Employed (%)		30.5	32.8	36.8	40.6
ROE %		**60.6**	**60.5**	**59.8**	**51.9**
Net Debt/Equity (%)		384.5	284.8	202.0	115.7
Net Debt/Net Debt & Equity (%)		79.4	74.0	66.9	53.6
Net Debt/EBITDA (x)		2.8	2.3	1.9	1.4
Net Interest Cover (x)		3.0	3.6	4.5	5.4
GOCF/EBITDA (%)		0.9	0.9	0.9	0.9
Total Capex/Sales (%)		9.0	8.0	9.9	10.5
Working Capital/Sales (%)		0.1	0.1	0.1	0.1
D&A/PP&E (%)		113.0	120.9	95.9	84.6
EV/EBITDA (x)		13.7	12.2	10.5	9.0

BLENDED VALUATION		
Valuation - DCF	262.52	0.0%
Valuation - Capitalisation of Earnings	0.00	0.0%
Valuation - PER	194.00	1.0%
Valuation - SOTP	0.00	
Valuation	AUD194.00	

The Lottery Corporation As at:		23/01/2025		TLC-ASX Recommendation:	
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
INCOME STATEMENT					
Total Operating Income/Revenue		3,996.6	3,687.0	3,885.1	3,995.2
EBITDA		827.1	709.4	748.9	773.2
D&A		(108.3)	(109.9)	(120.9)	(130.9)
EBIT		718.8	599.5	628.0	642.3
Net Interest Expense		(108.1)	(101.8)	(109.7)	(115.9)
PBT		600.2	487.7	508.3	516.4
Tax expense		(188.4)	(146.3)	(152.5)	(154.9)
NPAT attributable to s'hers		**411.8**	**341.4**	**355.8**	**361.5**
Adjusted Net Profit		411.8	341.4	355.8	361.5
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Current Receivables		47.7	72.9	74.8	77.0
Other Current Assets		212.7	212.7	212.7	212.7
Total Current Assets		706.3	975.8	613.3	779.4
Property Plant & Equipment		157	157	157	157
Intangibles		845.5	811.5	1,266.6	1,211.7
Other Non-Current Assets		565.3	565.3	565.3	565.3
Total Non-Current Assets		3,657.9	3,623.9	4,079.0	4,024.1
Total Assets (BS)		4,364.2	4,599.7	4,692.3	4,803.5
Liabilities					
Total Current liabilities		1,013.4	1,214.9	1,242.0	1,271.0
Long Term Debt		2,391.1	2,391.1	2,391.1	2,391.1
Total Non-Current Liabilities		2,987.7	2,987.7	2,987.7	2,987.7
Total Liabilities		4,001	4,203	4,230	4,259
Total Shareholders' Equity		363.1	397.1	462.7	544.9
Net Assets		363.1	397.1	462.7	544.9
Net Tangible Assets		(2,565.6)	(2,497.6)	(2,887.2)	(2,750.0)
Book Value		363.1	397.1	462.7	544.9
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		827.1	709.4	748.9	773.2
Change in Working Capital		(42.2)	176.3	25.2	26.8
Other Operating Cashflow		0.0	0.0	0.0	0.0
Gross Operating Cash Flow		**784.9**	**885.8**	**774.0**	**800.0**
Net interest paid		(105.7)	(111.8)	(119.7)	(125.9)
Tax Paid		(186.4)	(146.3)	(152.5)	(154.9)
Net Operating Cash Flows		**492.8**	**627.6**	**501.8**	**519.3**
Investing Cash Flows					
Purchase of PP&E		0.0	(38.7)	(38.7)	(38.7)
Other Investing Cashflows		(19.1)	0.0	0.0	0.0
Total Investing CashFlow		**(87.6)**	**(76.0)**	**(576.0)**	**(76.0)**

Source: Company data, E&P estimates

Positive			**Share Price:**		**AUD4.83**
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
FINANCING CASH FLOWS					
Proceeds from Borrowings		0.0	0.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(43.6)	0.0	0.0	0.0
Distributions		(270.0)	(307.4)	(290.2)	(279.3)
Total Financing Cash Flow		**(393.8)**	**(307.4)**	**(290.2)**	**(279.3)**
Net Change in Cash		11.4	244.3	(364.4)	164.0
Free Cashflow		492.8	589.0	463.2	480.6
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		18.5	15.3	16.0	16.3
DPS (cents)		18.5	13.8	13.0	12.6
Cash Flow Per Share (cents/share)		22.1	26.5	20.8	21.6
Book Value ($/sh)		16.3	17.9	20.8	24.5
NTA Per Share ($/sh)		(115.3)	(112.3)	(129.8)	(123.6)
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		20.7	19.2	19.3	19.4
EBIT Margin (%)		18.0	16.3	16.2	16.1
Net Profit Margin (%)		10.3	9.3	9.2	9.0
Capital Employed		2,308.3	2,098.0	2,528.0	2,446.2
Return on Capital Employed (%)		31.3	27.2	27.2	25.8
EBITDA/Capital Employed (%)		36.0	32.2	32.4	31.1
ROE %		**131.2**	**89.8**	**82.8**	**71.8**
Net Debt/Equity (%)		535.7	428.3	446.4	349.0
Net Debt/Net Debt & Equity (%)		84.3	81.1	81.7	77.7
Net Debt/EBITDA (x)		2.4	2.4	2.8	2.5
Net Interest Cover (x)		5.7	4.7	4.6	4.7
GOCF/EBITDA (%)		0.9	1.2	1.0	1.0
Total Capex/Sales (%)		1.7	2.1	14.8	1.9
Working Capital/Sales (%)		(0.2)	(0.3)	(0.3)	(0.3)
D&A/PP&E (%)		69.2	70.2	77.2	83.6
EV/EBITDA (x)		16.1	18.3	18.1	17.6

BLENDED VALUATION		
Valuation - DCF	5.35	1.0%
Valuation - Capitalisation of Earnings	0.00	0.0%
Valuation - PER	0.00	0.0%
Valuation - SOTP	0.00	
Valuation	AUD5.35	

Jumbo Interactive Ltd				JIN-ASX	
As at:	23/01/2025			Recommendation:	Positive

Year end	Jun	2024E	2025E	2026E	2027E
INCOME STATEMENT					
Total Operating Income/Revenue		159.3	155.6	170.5	184.5
EBITDA		75.1	73.6	82.0	90.1
D&A		(12.4)	(12.2)	(11.6)	(11.3)
EBIT		62.8	61.4	70.4	78.8
Net Interest Expense		1.0	1.0	1.0	1.3
PBT		63.7	62.4	71.5	80.2
Tax expense		(20.4)	(20.0)	(21.4)	(24.0)
NPAT attributable to s'hers		**43.3**	**42.4**	**50.0**	**56.1**
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Cash		69.0	81.6	101.7	122.5
Current Receivables		7.3	6.8	7.2	7.7
Inventories		0.1	0.1	0.1	0.1
Other Current Assets		13.0	13.0	13.0	13.0
Total Current Assets		89.3	101.4	122.0	143.3
Property Plant & Equipment		1	1	1	1
Intangibles		46.5	41.6	38.1	35.5
Other Non-Current Assets		2.2	2.2	2.3	2.5
Total Non-Current Assets		80.5	75.9	72.6	70.2
Total Assets (BS)		169.8	177.3	194.6	213.5
Liabilities					
Total Current liabilities		45.2	42.7	44.9	47.4
Long Term Debt		0.6	0.6	0.6	0.6
Total Non-Current Liabilities		9.5	9.5	9.6	9.8
Total Liabilities		55	52	54	57
Total Shareholders' Equity		115.2	125.0	140.1	156.4
Net Assets		115.2	125.0	140.1	156.4
Net Tangible Assets		37.7	52.4	71.0	89.9
Book Value		115.2	125.0	140.1	156.4
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		75.1	73.6	82.0	90.1
Change in Working Capital		6.2	(2.0)	1.7	2.0
Other Operating Cashflow		0.9	0.0	0.0	0.0
Gross Operating Cash Flow		**82.3**	**71.6**	**83.7**	**92.1**
Net interest paid		1.0	1.0	1.0	1.3
Tax Paid		(22.6)	(20.0)	(21.4)	(24.0)
Net Operating Cash Flows		**60.7**	**52.6**	**63.3**	**69.4**
Investing Cash Flows					
Purchase of PP&E		(0.4)	(0.6)	(0.7)	(0.7)
Other Investing Cashflows		(8.6)	0.0	0.0	0.0
Total Investing CashFlow		**(15.2)**	**(6.3)**	**(6.9)**	**(7.5)**

Source: Company data, E&P estimates

Share Price:	AUD13.49

Year end	Jun	2024E	2025E	2026E	2027E
FINANCING CASH FLOWS					
Proceeds from Borrowings		0.6	0.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(0.6)	0.0	0.0	0.0
Distributions		(29.6)	(32.5)	(35.0)	(39.8)
Total Financing Cash Flow		**(30.9)**	**(33.8)**	**(36.2)**	**(41.1)**
Net Change in Cash		14.5	12.6	20.2	20.8
Free Cashflow		60.2	52.0	62.7	68.7
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		68.9	67.4	79.4	89.1
DPS (cents)		54.5	51.7	55.6	63.2
Cash Flow Per Share (cents/share)		95.7	82.6	99.5	109.0
Book Value ($/sh)		182.9	198.6	222.4	248.3
NTA Per Share ($/sh)		59.9	83.3	112.8	142.8
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
SEGMENTALS					
Lottery Retailing revenue		123.4	118.4	134.7	147.1
SaaS revenue		50.7	49.1	53.8	57.4
Managed Services revenue		25.8	26.5	24.0	24.7
Reseller EBITDA		42.6	42.1	47.9	53.3
SaaS EBITDA		32.8	33.6	36.8	39.3
EBITDA		6.7	5.8	5.5	6.0
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		47.2	47.3	48.1	48.8
EBIT Margin (%)		39.4	39.5	41.3	42.7
Net Profit Margin (%)		27.2	27.3	29.3	30.4
Capital Employed		46.8	44.1	38.9	34.5
Return on Capital Employed (%)		136.1	135.1	169.5	214.7
EBITDA/Capital Employed (%)		162.9	161.9	197.4	245.5
ROE %		**40.3**	**35.3**	**37.7**	**37.9**
Net Debt/Equity (%)		(59.4)	(64.7)	(72.2)	(78.0)
Net Debt/Net Debt & Equity (%)		(146.0)	(183.5)	(259.6)	(353.8)
Net Debt/EBITDA (x)		(0.9)	(1.1)	(1.2)	(1.4)
Net Interest Cover (x)		135.6	249.3	284.2	304.8
GOCF/EBITDA (%)		1.1	1.0	1.0	1.0
Total Capex/Sales (%)		4.2	4.1	4.1	4.1
Working Capital/Sales (%)		(0.2)	(0.2)	(0.2)	(0.2)
D&A/PP&E (%)		1,940.0	1,524.9	1,263.6	1,112.2
EV/EBITDA (x)		13.6	10.4	9.4	8.6

BLENDED VALUATION		
Valuation - DCF	18.28	1.0%
Valuation	AUD17.80	

Tabcorp Holdings Ltd				TAH-ASX	
As at:	23/01/2025			Recommendation:	Neutral

Year end	Jun	2024E	2025E	2026E	2027E
INCOME STATEMENT					
Total Operating Income/Revenue		2,338.9	2,470.9	2,545.2	2,570.3
EBITDA		317.7	358.7	373.7	367.8
D&A		(220.3)	(200.0)	(197.8)	(189.1)
EBIT		97.4	158.7	175.9	178.7
Net Interest Expense		(23.2)	(48.7)	(46.6)	(44.1)
PBT		55.2	100.0	119.3	124.7
Tax expense		(24.0)	(48.0)	(36.7)	(41.9)
Share of profits from associates		(3.2)	(6.0)	3.0	15.0
NPAT attributable to s'hers		**28.0**	**46.0**	**85.6**	**97.8**
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Cash		313.7	338.3	383.1	424.9
Current Receivables		160.9	170.5	174.7	176.3
Other Current Assets		96.5	96.5	96.5	96.5
Total Current Assets		571.1	605.3	654.2	697.8
Property Plant & Equipment		184	183	186	189
Intangibles		808.4	745.4	685.0	634.6
Other Non-Current Assets		54.0	54.0	54.0	54.0
Total Non-Current Assets		2,814.2	2,750.2	2,693.2	2,645.8
Total Assets (BS)		3,385.3	3,355.5	3,347.5	3,343.5
Liabilities					
Total Current liabilities		635.2	623.7	636.8	641.9
Long Term Debt		1,032.6	1,032.6	1,032.6	1,032.6
Total Non-Current Liabilities		1,503.2	1,473.2	1,416.1	1,358.9
Total Liabilities		2,138	2,097	2,053	2,001
Total Shareholders' Equity		1,246.9	1,258.6	1,294.6	1,342.7
Net Assets		1,246.9	1,258.6	1,294.6	1,342.7
Net Tangible Assets		(1,295.5)	(1,220.8)	(1,124.4)	(1,025.9)
Book Value		1,246.9	1,258.6	1,294.6	1,342.7
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		317.7	358.7	373.7	367.8
Change in Working Capital		(11.2)	(21.1)	9.0	3.4
Other Operating Cashflow		(148.3)	0.0	0.0	0.0
Gross Operating Cash Flow		**158.2**	**337.6**	**382.7**	**371.2**
Net interest paid		(26.3)	(58.7)	(56.6)	(54.1)
Tax Paid		113.3	(48.0)	(36.7)	(41.9)
Net Operating Cash Flows		**245.2**	**230.8**	**289.4**	**275.2**
Investing Cash Flows					
Purchase of PP&E		0.0	(70.0)	(74.8)	(75.6)
Proceeds from Asset Sales		1.4	0.0	0.0	0.0
Other Investing Cashflows		22.1	(6.0)	3.0	15.0
Total Investing CashFlow		**(739.7)**	**(172.0)**	**(195.0)**	**(183.7)**

Source: Company data, E&P estimates

Share Price:	AUD0.66

Year end	Jun	2024E	2025E	2026E	2027E
FINANCING CASH FLOWS					
Proceeds from Borrowings		0.0	0.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(2.2)	0.0	0.0	0.0
Distributions		(43.8)	(34.3)	(49.5)	(49.7)
Total Financing Cash Flow		**517.5**	**(34.3)**	**(49.5)**	**(49.7)**
Net Change in Cash		23.0	24.6	44.8	41.8
Free Cashflow		245.2	160.8	214.5	199.6
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		1.2	2.0	3.7	4.3
DPS (cents)		1.3	1.5	2.2	2.2
Cash Flow Per Share (cents/share)		10.7	7.0	9.4	8.7
Book Value ($/sh)		54.6	55.1	56.7	58.8
NTA Per Share ($/sh)		(56.7)	(53.4)	(49.2)	(44.9)
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
SEGMENTALS					
Wagering & Media revenue		2,162.8	2,304.5	2,374.7	2,396.9
Gaming Services revenue		176.1	166.5	170.5	173.4
Gaming Services EBITDA Margin		251.2	298.4	311.6	304.6
Other EBITDA Margin		66.5	60.3	62.0	63.2
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		13.6	14.5	14.7	14.3
EBIT Margin (%)		4.2	6.4	6.9	7.0
Net Profit Margin (%)		1.2	1.9	3.4	3.8
Capital Employed		1,965.8	1,952.9	1,944.1	1,950.4
Return on Capital Employed (%)		4.1	8.1	9.0	9.2
EBITDA/Capital Employed (%)		13.3	18.3	19.2	18.9
ROE %		**1.4**	**3.7**	**6.7**	**7.4**
Net Debt/Equity (%)		57.7	55.2	50.2	45.3
Net Debt/Net Debt & Equity (%)		36.6	35.6	33.4	31.2
Net Debt/EBITDA (x)		2.3	1.9	1.7	1.7
Net Interest Cover (x)		2.4	2.3	2.6	2.6
GOCF/EBITDA (%)		0.5	0.9	1.0	1.0
Total Capex/Sales (%)		32.6	6.7	7.8	7.7
Working Capital/Sales (%)		(0.2)	(0.2)	(0.2)	(0.1)
D&A/PP&E (%)		119.7	109.3	106.1	99.9
EV/EBITDA (x)		7.0	6.1	5.7	5.7

BLENDED VALUATION		
Valuation - DCF	0.60	1.0%
Valuation	AUD0.60	

SkyCity Entertainment Group Ltd				SKC-ASX	
As at:	23/01/2025			Recommendation:	Neutral

Year end	Jun	2024A	2025E	2026E	2027E
INCOME STATEMENT					
Total Operating Income/Revenue		928.5	882.7	954.4	1,007.5
EBITDA		138.2	240.6	239.2	296.5
D&A		(92.0)	(108.4)	(109.9)	(109.5)
EBIT		46.2	132.1	129.3	187.0
Net Interest Expense		(48.0)	(39.0)	(39.0)	(38.4)
PBT		30.2	113.1	90.3	148.6
Tax expense		(173.5)	(33.9)	(27.1)	(44.6)
NPAT attributable to s'hers		**(143.3)**	**79.2**	**63.2**	**104.0**
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Cash		60.5	95.4	108.3	147.4
Current Receivables		86.9	40.5	43.6	46.1
Inventories		8.4	9.8	10.4	10.8
Other Current Assets		33.4	33.4	33.4	33.4
Total Current Assets		189.2	179.0	195.7	237.7
Property Plant & Equipment		1,817	1,861	1,853	1,852
Intangibles		544.6	541.3	538.9	537.0
Other Non-Current Assets		99.1	99.1	99.1	99.1
Total Non-Current Assets		2,591.8	2,632.2	2,622.6	2,618.9
Total Assets (BS)		2,781.0	2,811.3	2,818.3	2,856.6
Liabilities					
Short Term Debt		241.1	241.1	241.1	241.1
Total Current liabilities		506.3	554.3	570.9	580.9
Long Term Debt		368.4	368.4	368.4	368.4
Total Non-Current Liabilities		970.9	903.9	873.9	873.9
Total Liabilities		1,477	1,458	1,445	1,455
Total Shareholders' Equity		1,303.9	1,353.1	1,373.5	1,401.8
Net Assets		1,303.9	1,353.1	1,373.5	1,401.8
Net Tangible Assets		759.3	811.7	834.6	864.8
Book Value		1,303.9	1,353.1	1,373.5	1,401.8
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		138.2	240.6	239.2	296.5
Change in Working Capital		(25.0)	67.0	12.8	7.1
Other Operating Cashflow		145.1	(51.0)	(30.0)	0.0
Gross Operating Cash Flow		**258.2**	**256.6**	**222.0**	**303.6**
Net interest paid		(48.0)	(39.0)	(39.0)	(38.4)
Tax Paid		(54.7)	(33.9)	(27.1)	(44.6)
Net Operating Cash Flows		**155.6**	**183.7**	**155.9**	**220.6**
Investing Cash Flows					
Purchase of PP&E		(303.7)	(140.0)	(90.7)	(95.7)
Proceeds from Asset Sales		0.0	0.0	0.0	0.0
Other Investing Cashflows		(8.7)	0.0	0.0	0.0
Total Investing CashFlow		**(319.4)**	**(148.8)**	**(100.2)**	**(105.8)**

Source: Company data, E&P estimates

Share Price:	AUD1.27

Year end	Jun	2024A	2025E	2026E	2027E
FINANCING CASH FLOWS					
Proceeds from Borrowings		39.6	0.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		0.0	0.0	0.0	0.0
Distributions		(85.4)	0.0	(42.8)	(75.7)
Total Financing Cash Flow		**(20.6)**	**0.0**	**(42.8)**	**(75.7)**
Net Change in Cash		(184.5)	34.8	12.9	39.1
Free Cashflow		(148.1)	43.7	65.3	124.9
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		(18.9)	10.4	8.3	13.7
DPS (cents)		4.8	0.0	5.1	9.1
Cash Flow Per Share (cents/share)		(19.5)	5.7	8.6	16.4
Book Value ($/sh)		1.6	1.6	1.7	1.7
NTA Per Share ($/sh)		0.9	1.0	1.0	1.0
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		14.9	27.3	25.1	29.4
EBIT Margin (%)		5.0	15.0	13.6	18.6
Net Profit Margin (%)		(15.4)	9.0	6.6	10.3
Capital Employed		1,852.8	1,867.2	1,874.7	1,863.9
Return on Capital Employed (%)		2.5	7.1	6.9	10.0
EBITDA/Capital Employed (%)		7.5	12.9	12.8	15.9
ROE %		**(10.1)**	**6.0**	**4.6**	**7.5**
Net Debt/Equity (%)		42.1	38.0	36.5	33.0
Net Debt/Net Debt & Equity (%)		29.6	27.5	26.7	24.8
Net Debt/EBITDA (x)		4.0	2.1	2.1	1.6
Net Interest Cover (x)		0.9	3.1	3.1	4.4
GOCF/EBITDA (%)		1.9	1.1	0.9	1.0
Total Capex/Sales (%)		33.5	16.9	10.5	10.5
Working Capital/Sales (%)		(0.1)	(0.2)	(0.2)	(0.2)
D&A/PP&E (%)		5.1	5.8	5.9	5.9
EV/EBITDA (x)		12.6	7.1	7.1	5.6

BLENDED VALUATION		
Valuation - DCF	1.47	1.0%
Valuation	AUD1.47	

RESEARCH RECOMMENDATION DEFINITIONS

Positive	Stock is expected to outperform the S&P/ASX 200 over the coming 24 months.
Neutral	Stock expected to perform in line with the S&P/ASX 200 over the coming 24 months.
Negative	Stock is expected to underperform the S&P/ASX 200 over the coming 24 months.
Speculative Buy	Stock has limited history from which to derive a fundamental investment view or its prospects are highly dependent on event risk, e.g. Successful exploration, scientific breakthrough, high commodity prices, regulatory change, etc. Consequently, the stock is considered a high-risk investment which may be prone to high volatility in share price movements, have a greater risk of capital loss and/or the stock may have low liquidity.
Suspended	Stock is temporarily suspended due to compliance with applicable regulatory and/or E&P policies in circumstances where E&P is acting in an advisory capacity.
Not Rated	Stock is not included in our investment research universe.

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Recommendations are primarily determined with reference to how a stock ranks relative to the S&P/ASX 200 on the following criteria:

Valuation	Composite of Rolling 12-month prospective multiples and discounted cash flow (DCF), or DCF for resource stocks.
Earnings Outlook	Forecast 2-year EPS growth.
Earnings Momentum	Percentage change in the current consensus EPS estimate for the stock (rolling 1-year forward basis) over the consensus EPS estimate for the stock 3 months ago.
Shareholder Returns	Composite of forecast ROE (rolling 1-year forward basis) and the percentage change in ROE over 2 years.
Debt Servicing Capacity	Rolling 12-month EBIT Interest Cover ratio.
Cyclical Risk	Qualitative assessment of the 2-year outlook for a stock/industry's profit cycle.
Industry Quality	Qualitative assessment of an industry's growth/returns potential and company specific management capability.
Financial Transparency	If we don't understand it, we won't recommend it.

For stocks where Evans and Partners does not generate its own forecasts, Bloomberg consensus data is used. Analysts can introduce other factors when determining their recommendation, with any material factors stated in the written research where appropriate.

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CGHE	The Investment Manager (IM) of Claremont Global Fund (Fund), and Evans and Partners Pty Ltd (EAP) are wholly owned subsidiaries of E&P Financial Group Limited (E&P) and related bodies corporate. The IM will receive fees for services provided to the Fund. The Portfolio Managers of the Fund are employees of E&P and/or its related bodies corporate. Each individual receives remuneration from E&P and/or its related entities.
CVC	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
CVB	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
CGUN	The Investment Manager (IM) of Claremont Global Fund (Fund), and Evans and Partners Pty Ltd (EAP) are wholly owned subsidiaries of E&P Financial Group Limited (E&P) and related bodies corporate. The IM will receive fees for services provided to the Fund. The Portfolio Managers of the Fund are employees of E&P and/or its related bodies corporate. Each individual receives remuneration from E&P and/or its related entities.
DGT	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has been appointed Co-Lead Manager to an offering of securities of the company or its affiliates, for which it will receive a fee.
EBR	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
EXP	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, is currently providing advisory services to the company, for which it may receive a fee.
EYE	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
GCI	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
LE.US	A director of E&P Financial Group Limited, the ultimate holding company of Evans and Partners Pty Ltd, is a director of Lands' End Inc.
MAQ	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
MOT	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
MQG	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
MXT	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
NAB	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
MRE	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
OFX	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.
PGF	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.

QRI	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
RF1	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
SWM	The company has completed a conditional share sale agreement to acquire Prime Media Group Limited (PRT). E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, provided advisory services to PRT, for which it received a fee. A director of E&P Financial Group Limited is a director of Seven West Media Limited.
URF	A subsidiary of E&P Financial Group Limited currently has a commercial relationship with the Responsible Entity (RE) owned by the US Masters Residential Property Fund (URF), for which it receives a fee in relation to a transitional services arrangement to provide operational assistance for a period post RE appointment.

RESEARCH ANALYST CERTIFICATION

I, Paul D Mason and Sam Bradshaw, hereby certify that all views expressed in this publication reflect my personal views about the subject theme and/or relevant company securities, and no attempt has been made by any other person to influence the views or themes contained within; and I am not in receipt of inside information and this publication does not contain any inside information. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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